

ASIA ASSET FINANCE PLC
COLOMBO 03

FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH, 2020



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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ASIA ASSET FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Asset Finance PLC (the "company"), which comprise the statement of financial position as at 31st March 2020, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies as set out on pages 05 to 59.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the company as at 31st March 2020, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of the most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter

Impairment of loans and receivables

The company's gross loans and receivables amount to Rs. 13.83 billion as at 31st March 2020 (2019: Rs. 12.56 billion) and impairment allowance for the year amounts to Rs. 382 million at 31st March 2020 (2019: Rs. 358 million).

The company measures the impairment of loans and receivables using expected credit loss ("ECL") model as per SLFRS 9: Financial Instruments ("SLFRS 9"). The application of this standard requires management to exercise significant judgments in the determination of expected credit losses, including those relating to loans and receivables. Management applies significant judgment in the determination of estimated future cash flows, probabilities of default and forward looking economic expectations.

Given the outbreak of COVID-19 in the last quarter of the financial year and the resulting uncertainty as to the economic and financial market impact, significant judgment was required to be exercised by the company in calculating the ECL. Specifically, this includes judgments around the impact of COVID-19 on forward looking information, considering potential macroeconomic outcomes that may impact future expected credit losses.

Due to the significance of loans and receivables and the significant estimates and judgment involved, the impairment of these loans and receivables was considered to be a key audit matter.

The impairment provision is considered separately on an individual and collective impairment basis.

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In calculating the impairment provision on a collective basis, statistical models are used. The following inputs to these models require significant management judgment:

- the probability of default (PD);
- the exposure at default (EAD);
- the loss given default (LGD); and
- the effective interest rates.

In assessing loans and receivables on an individual basis, significant judgments, estimates and assumptions have been made by management to:

- Determine if the loan or advance is credit impaired;
- Evaluate the adequacy and recoverability of collateral;
- Determine the expected cash flows to be collected; and
- Estimate the timing of the future cash flows.

The disclosures associated with impairment of loans and receivables are set out in the financial statements in the following notes:

- Note 7 - Impairment charge for lease rentals receivables, hire purchase and loans and advances
- Note 14 - Financial assets at amortised cost - Loan and advances
- Note 15 - Financial assets at amortised cost - Lease rental receivables and hire purchase

How our audit addressed the key audit matter

Our procedures included the following:

- We obtained an understanding of management's process and tested controls over credit origination, credit monitoring and credit remediation.
- We assessed the appropriateness of the accounting policies and loan impairment methodologies applied by comparing these to the requirements of SLFRS 9: Financial Instruments.
- We test-checked the underlying calculations and data.

In addition to the above, we performed the following specific procedures:

For loans and receivables collectively assessed for impairment:

- We assessed the completeness of the underlying information in loans and receivables used in the impairment calculations by agreeing details to the company's source documents and information in IT systems.
- We also considered the reasonableness of macro-economic and other factors used by management by comparing them with publicly available data and information sources. This included assessing and challenging the reasonableness of macroeconomic scenarios considered and certain forward-looking economic data developed by the company, with particular focus on the impact of COVID-19 in light of certain available information and consensus views.

For loans and receivables individually assessed for impairment:

- We assessed the main criteria used by management for determining whether an impairment event had occurred.
- Where impairment indicators existed, we assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held.

We also assessed the adequacy of the related financial statement disclosures.

Other information

Management is responsible for the other information. The other information comprises the information included in the Annual Report. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise whether it appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines, is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain an audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures, are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.



- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3890.

BDO Partners

CHARTERED ACCOUNTANTS

Colombo

03rd June 2020

VR/dm

ASIA ASSET FINANCE PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31ST MARCH 2020

Page 1

	Note	2019/2020 Rs.	2018/2019 Rs.
Interest income	4	3,043,709,078	2,722,660,945
Less: Interest expenses	5	(1,704,234,090)	(1,433,366,344)
Net Interest income		1,339,474,988	1,289,294,601
Net trading loss on held for trading securities		(125)	(9,220)
Other operating income	6	288,910,201	146,105,033
Less: Operating expenses			
Personnel expenses		(310,582,828)	(280,796,890)
Provision for staff retirement benefits		(7,041,239)	(5,272,963)
General and administration expenses		(782,395,544)	(633,317,428)
Impairment charge for lease rentals receivable, hire purchase, loans and advances	7	(381,645,114)	(357,620,797)
Operating profit before value added tax on financial services		146,720,339	158,382,336
Value added tax on financial services		(53,404,047)	(64,475,297)
Profit before income tax	8	93,316,292	93,907,039
Income tax income/(expenses)	9	(23,162,926)	7,022,779
Profit for the year		70,153,366	100,929,818
Other comprehensive income not to be re-classified to profit or loss in subsequent periods (net of tax)			
Actuarial loss on retirement benefit liability		(2,075,633)	(719,285)
Deferred tax effect on components of other comprehensive income	9	(498,152)	(201,400)
Other comprehensive expense for the year net of tax		(2,573,785)	(920,685)
Total comprehensive income for the year		67,579,581	100,009,133
Earnings per share - basic	32	0.57	0.94

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 59 form an integral part of these financial statements.

Colombo
03rd June 2020



	Note	31.03.2020 Rs.	31.03.2019 Rs.
ASSETS			
Cash and cash equivalents	11	511,939,133	643,777,198
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	12	860,630,696	691,744,740
Financial assets - fair value through profit or loss / held for trading	13	-	125
Financial assets at amortized cost - Loans and advances	14	8,913,047,650	7,453,374,463
Financial assets at amortized cost - Lease rentals receivable and hire purchase	15	3,726,488,702	4,102,651,935
Vehicle stock		-	18,913,569
Other assets	16	16,983,813	16,511,803
Income tax receivable	17	27,736,580	3,732,303
Advances, deposits and prepayments	18	156,189,223	155,155,197
Financial assets - Fair value through other comprehensive income / available for sale	19	506,659	506,659
Property, plant and equipment	20	138,032,482	158,680,580
Right-of-use assets	21	137,210,457	-
Investment property	22	399,678,109	393,818,513
Deferred tax assets	9	225,922,647	249,583,725
Intangible assets	23	40,220,339	11,043,610
Total assets		15,154,586,490	13,899,494,420
LIABILITIES			
Financial liabilities - Due to banks	24	58,777,776	131,273,907
Other liabilities	25	96,622,133	217,163,369
Financial liabilities - Other borrowed funds	26	6,086,325,326	4,958,735,615
Lease liability	27	126,200,873	-
Due to customers	28	6,585,234,705	6,617,344,955
Retirement benefit obligation	29	29,972,864	22,088,492
Total liabilities		12,983,133,677	11,946,606,338
EQUITY			
Stated capital	30	1,791,478,691	1,640,493,541
Retained earnings		303,207,769	239,007,167
Statutory reserve fund and other reserves	31	76,766,353	73,387,374
Total equity		2,171,452,813	1,952,888,082
Total equity and liabilities		15,154,586,490	13,899,494,420
Contingent liabilities and commitments	33	680,417,899	1,832,603,830
Net assets value per share		17.50	18.18

Figures in brackets indicate deductions.

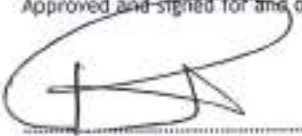
The accounting policies and notes on pages 05 to 59 form an integral part of these financial statements.

These financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

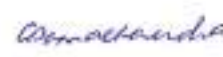

Geethika Elwalage
Deputy General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.


R.J.A. Gunawardena
Director/Chief Executive Officer




C. Ramachandra
Chairman

	Stated capital Rs.	General reserve Rs.	Statutory reserve fund Rs.	Retained earnings Rs.	Total Rs.
Balance as at 31st March 2018	1,388,935,273	3,000,000	65,386,917	401,610,081	1,858,932,271
Impact of adoption of SLFRS 9	-	-	-	(257,611,590)	(257,611,590)
Recognition of SLFRS 09 ECLs	-	-	-	(357,793,876)	(357,793,876)
Deferred tax on transitional adjustments	-	-	-	100,182,286	100,182,286
Balance as at 01st April 2018	1,388,935,273	3,000,000	65,386,917	143,998,491	1,601,320,681
Total comprehensive income for the year					
Profit for the year	-	-	-	100,929,818	100,929,818
Other comprehensive expense (net of tax)	-	-	-	(920,685)	(920,685)
Total comprehensive income for the year	-	-	-	100,009,133	100,009,133
Transactions with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	251,558,268	-	-	-	251,558,268
Transfers to reserves	-	-	5,000,457	(5,000,457)	-
Total transactions with equity holders	251,558,268	-	5,000,457	(5,000,457)	251,558,268
Balance as at 31st March 2019	1,640,493,541	3,000,000	70,387,374	239,007,167	1,952,888,082
Total comprehensive income for the year					
Profit for the year	-	-	-	70,153,366	70,153,366
Other comprehensive expense (net of tax)	-	-	-	(2,573,785)	(2,573,785)
Total comprehensive income for the year	-	-	-	67,579,581	67,579,581
Transactions with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	150,985,150	-	-	-	150,985,150
Transfers to reserves	-	-	3,378,979	(3,378,979)	-
Total transactions with equity holders	150,985,150	-	3,378,979	64,200,602	218,564,731
Balance as at 31st March 2020	1,791,478,691	3,000,000	73,766,353	303,207,769	2,171,452,813

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 59 form an integral part of these financial statements.

Colombo
03rd June 2020



	Note	2019/2020 Rs.	2018/2019 Rs.
Cash flows from operating activities			
Profit before income tax		93,316,292	93,907,039
Adjustments for			
Depreciation and amortisation	20 & 23	51,791,363	51,006,612
Amortisation of right-of-use-assets	21	29,177,605	-
Lease interest expense		17,234,710	-
Impairment of lease hire purchase, loans and advances	7	381,645,114	357,620,797
Early termination of loans, leases and hire purchase		(51,580,552)	(35,561,373)
Non-cash items included in profit before tax (WHT and Notional tax)		(1,264,129)	(1,517,200)
Net interest margin adjustment		31,765,157	24,153,962
Interest income on commercial papers		(6,170,583)	(6,234,305)
Interest income on Unit Trust		(3,493,043)	-
Profit on sale of held for trading securities		125	1,614
Loss on fair valuation of held for trading securities		-	7,606
Gains from sale of property, plant and equipment, investment property and real estate inventories		(182,714)	(2,841,867)
Loss/(profit) on sale of vehicle stock		1,133,738	(86,431)
Provision for retirement benefit liability		7,041,239	5,272,963
Interest expense on other borrowings		897,277,265	561,621,544
Cash generated from operations before working capital changes		1,447,691,587	1,067,350,961
Changes in working capital			
(Increase)/decrease in lease rentals receivable and hire purchase		279,318,715	(1,936,369,097)
Increase in loans and advances		(1,724,658,389)	(862,275,657)
Increase in other receivables		(472,010)	(924,414)
Increase in deposits and prepayments		(31,671,976)	(47,300,314)
(Increase)/decrease in deposits from customers		(32,110,250)	261,277,709
Increase/(decrease) in other non-financial liabilities		(120,541,238)	164,012,558
Net cash used in operations after changes in working capital		(182,443,361)	(1,354,228,254)
Taxes paid		(22,740,148)	(31,617,521)
Gratuity paid		(1,232,500)	(3,948,750)
Rent paid		(42,557,697)	-
Net cash used in operating activities		(248,973,906)	(1,389,794,525)
Cash flows from investing activities			
Acquisition of property, plant and equipment	20	(27,787,206)	(57,293,522)
Acquisition of intangible assets	23	(17,178,378)	(5,506,856)
Acquisition of investment property	22	(5,859,596)	(14,220,059)
Proceeds from sale of investment property		-	17,300,000
Acquisition of vehicle stock		-	(37,565,049)
Proceeds from sale of vehicle stock		17,779,831	19,000,000
Investments in commercial papers		(280,000,000)	-
Proceeds from commercial papers		286,170,583	213,479,053
Investments in Unit Trust		(250,000,000)	-
Proceeds from Unit Trust		253,493,043	-
Proceeds from sale of held for trading securities		-	204,389
Proceeds from sale of property, plant and equipment		602,054	2,816,971
Net cash (used in)/from investing activities		(22,779,669)	138,214,929
Cash flows from financing activities			
Repayment of other borrowed funds	26	(4,421,488,370)	(3,426,336,554)
Proceeds from other borrowed funds	26	4,651,801,017	4,802,371,833
Proceed from right issue		150,985,150	231,558,268
Net cash generated from financing activities		381,297,597	1,627,593,547
Net increase in cash and cash equivalents		109,544,022	376,033,951
Cash and cash equivalents at the beginning of the year	A	1,204,248,031	828,214,080
Cash and cash equivalents at the end of the year	B	1,313,792,053	1,204,248,031
At the beginning of the year			Note A
Cash and cash equivalents		643,777,198	660,159,119
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost		691,744,740	622,975,267
Bank overdraft		(131,273,907)	(454,920,306)
		1,204,248,031	828,214,080
At the end of the year			Note B
Cash and cash equivalents		511,939,133	643,777,198
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost		860,630,696	691,744,740
Bank overdraft		(58,777,776)	(131,273,907)
		1,313,792,053	1,204,248,031

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 59 form an integral part of these financial statements.



1. CORPORATE INFORMATION

This section provides general information about Asia Asset Finance PLC.

1.1 General

Asia Asset Finance PLC is a Public Limited Liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The company has been registered with the Central Bank of Sri Lanka as a Finance company under the provisions of the Finance Business Act No. 42 of 2011 (formerly the Finance Companies Act No.78 of 1988). The company was re-registered under the Companies Act No. 07 of 2007. The registered office of the company and the principal place of business is located at No 76/1, Dharmapala Mawatha, Colombo 03.

1.2 Principal activities and nature of operations

The principal activities of the company comprise granting leases, hire purchase, mortgage loans, personal loans, group personal loans, gold loans, micro finance loans, pledge loans, cheque and invoice discounting and mobilization of public deposits.

There were no significant changes in the nature of the principal activities of the company during the financial year under review.

1.3 Parent entity and ultimate parent entity

The company's immediate and ultimate parent entity as at 31st March 2020 is Muthoot Finance Limited which was incorporated in India.

1.4 Number of employees

The staff strength of the company as at 31st March 2020 was 495 (553 as at 31st March 2019).

2. BASIS OF PREPARATION AND OTHER SIGNIFICANT ACCOUNTING POLICIES

This section provides additional information about the overall basis of preparation that the directors consider is useful and relevant in understanding these financial statements:

- A summary of other significant accounting policies affecting the results and financial position of the company, including changes in accounting policies and disclosures during the year.
- Standards that have been issued which the company has not adopted.

2.1 Basis of measurement

The financial statements of the company have been prepared on the historical cost basis except for the following items in the statement of financial position:

Item	Basis of measurement
Financial assets measured at fair value through profit or loss	Fair value
Financial assets measured at fair value through other comprehensive income	Fair value
Retirement benefit obligation	Liability is recognized as the present value of the retirement obligation plus unrecognized actuarial gains less unrecognized past service cost and unrecognized actuarial losses.

2.2 Going concern

In determining the basis of preparing the financial statements for the year ended 31 March 2020, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the company and the appropriateness of the use of the going concern basis. As at reporting date, the company evaluated the resilience of its business considering a wide range of factors under multiple scenarios, relating to expected revenue streams, cost management, profitability, the ability to defer non-essential capital expenditure, debt repayment schedules, if any, cash reserves and potential sources of financing facilities, if required, and the ability to continue providing service to ensure businesses continue as least impacted as possible.

Having presented the outlook for the company's business to the Board of Directors and after due consideration of the range and likelihood of outcomes, the Directors are satisfied that the company has adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these financial statements.

In determining significant management judgments, estimates and assumptions the impact of the COVID 19 pandemic has been considered as of reporting date and specific considerations have been disclosed under the relevant notes.

2.3 Statement of compliance

The financial statements of the company as at 31st March, 2020 and for the year ended have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007, the Finance Business Act No 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.

These financial statements include the following components:

- A statement of profit or loss and other comprehensive income providing the information on the financial performance of the company for the year under review
- A statement of financial position providing the information on the financial position of the company as at the year end
- A statement of changes in equity depicting all changes in shareholders' equity during the year under review of the company
- A statement of cash flows providing the information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entity to utilize those cash flow and
- Notes to the financial statements comprising accounting policies and other explanatory information.

2.4 Responsibility for financial statements

The Board of Directors is responsible for the preparation and presentation of these financial statements as per the provision of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards.

2.5 Approval of financial statements by the Board of Directors

The financial statements of Asia Asset Finance PLC for the year ended 31st March, 2020 (including comparatives) were approved and authorized for issue on 03rd June, 2020 in accordance with a resolution of the Board of Directors on 03rd June, 2020.



2.6 Presentation of financial statements

The assets and liabilities in the statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) has been presented in note 37 (current/non-current analysis). No adjustments have been made for inflationary factors affecting the financial statements.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of comprehensive income unless it is required or permitted by any accounting standard or interpretation.

2.7 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year. The company has not restated the comparative information for contracts within the scope of Sri Lanka Accounting Standard - SLFRS 16 on "Leases" (SLFRS 16). Therefore, the comparative information is reported under Sri Lanka Accounting Standard - LKAS 17 on "Leases" (LKAS 17) and is not comparable with the information presented for 2018/2019.

2.8 Functional and presentation currency

The financial statements have been presented in Sri Lanka Rupee (Rs.), which is the company's functional and presentation currency.

2.9 Materiality and aggregation

In compliance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements', each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, unless they are immaterial.

2.10 Rounding

The amounts in the financial statements have been rounded-off to the nearest Rupee, except where it is otherwise indicated as permitted by the Sri Lanka Accounting Standard- LKAS 01 on 'Presentation of Financial Statements'.

2.11 Foreign currency transactions and balances

All foreign currency transactions are translated into the functional currency which is the Sri Lanka Rupee (Rs.) at the spot exchange rate prevailing at the date of the transactions being effected. In this regard, the company's practice is to use the middle rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot rate of exchange ruling at the reporting date. The foreign currency gain or loss on monetary items is the difference between the amortized cost in the functional currency at the beginning of the year adjusted for effective interest and payments during the year and the amortized cost in foreign currency translated at the exchange rate at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the date of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.

2.12 Significant accounting judgments, estimates and assumptions

The preparation of the financial statements of the company in conformity with SLFRS and LKAS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Further, the management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgments, estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Significant accounting judgments, estimates and assumptions involving uncertainty are discussed below, whereas the respective carrying amounts of such assets and liabilities are given in the related notes.

2.12.1 Classification of financial assets and liabilities

As per SLFRS 9, the Significant Accounting Policies of the company provide scope for financial assets to be classified and subsequently measured into different categories, namely, at Amortised Cost, Fair Value through Other Comprehensive Income (FVOCI) and Fair Value Through Profit or Loss (FVTPL) based on the following criteria:

- The entity's business model for managing the financial assets is set out in Note 3.1.3.1.
- The contractual cash flow characteristics of the financial assets is set out in Note 3.1.3.2.

2.12.2 Impairment Losses on Financial assets

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses. These estimates are based on the assumptions of a number of factors and the actual results may differ, resulting in future changes to the allowance.

Refer Note 3.1.11 for more details relating to impairment loss assessment on financial assets.

2.12.3 Taxation

The company is subject to income taxes and other taxes including VAT on financial services. Significant judgment is required to determine the total provision for current, deferred and other taxes pending the issue of tax guideline on the treatment of the adoption of SLFRSs in the financial statements and the taxable profit for the purpose of imposition of taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.

The company recognizes assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

2.12.4 Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax planning strategies.

2.12.5 Retirement benefit obligation

The cost of the retirement benefit obligation of employees is determined using an actuarial valuation. The actuarial valuation is based on assumptions concerning the rate of interest, rate of salary increase, staff turnover, and retirement age and going concern of the company. Due to the long-term nature of such obligation, these estimates are subject to significant uncertainty. Further details are given in note 29 to the financial statements.

2.12.6 Useful lives of property, plant and equipment and intangible assets

The company depreciates the property plant and equipment, using the straight line method over their estimated useful lives after taking into account their estimated residual values. The estimated useful life reflects the management's estimate of the period that the company intends to derive future economic benefits from the use of the property, plant and equipment. The residual value reflects the management's estimated amount that the company would currently obtain from the disposal of the asset, after deducting the estimated disposal, as if the asset were already of the age and in the conditions expected at the end of its useful life. Changes in the expected level of usage and technological developments could affect the economic useful lives and the residual values of these assets which could then consequentially impact future depreciation charges.

2.12.7 SLFRS 16 - Leases (Applicable from April 1, 2019)

2.12.7.1 Determination of the lease term for lease contracts with renewal and termination options (company as a lessee)

The company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The company has several lease contracts that include extension and termination options. The company applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination option. After the commencement date, the company reassesses the lease term if there is a significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation of the leased asset).

2.12.7.2 Estimating the incremental borrowing rate

As the company cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The company estimates the IBR using observable input when available and is required to make certain entity-specific adjustments.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

2.13 Changes in Accounting Policies

The company has consistently applied the Accounting Policies to all periods presented in these Financial Statements, except for the changes arising out of transition to SLFRS 16:

2.13.1 New and amended standards and interpretations

In these financial statements, the company has applied SLFRS 16, which is effective for the annual reporting periods beginning on or after January 1, 2019, for the first time. The company has not earlier adopted any other standard, interpretation or amendment that has been issued but has not been effective.

2.13.1.1 Sri Lanka Accounting Standard SLFRS 16 - "Leases"

Sri Lanka Accounting Standard SLFRS 16 - "Leases" (SLFRS 16) became effective for annual periods beginning on or after 1st January 2019. SLFRS 16 supersedes LKAS 17 "Leases", IFRIC interpretation 4 - "Determining whether an Arrangement contains a Lease", SIC - 15 "Operating Leases - Incentives" and SIC - 27 "Evaluating the Substance of Transactions involve in the legal form of a Lease". This standard which replaced Sri Lanka Accounting Standard LKAS 17 - "Leases" (LKAS 17), sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the balance sheet. Lessor accounting under SLFRS 16 is substantially unchanged from LKAS 17 where by lessors will continue to classify leases as either operating or finance leases using similar principles as in LKAS 17. Therefore, SLFRS 16 did not have an impact on leases where the company is the lessor.

The company adopted SLFRS 16 using the modified retrospective method of adoption with the date of initial application as 01st April 2019. Under this method, the standard is applied retrospectively with the cumulative effect of initially applying the standard recognised on the date of initial application. The company elected to use the transitional practical expedient to not reassess whether a contract is or contains a lease at 1st April 2019. Instead, the company applied the standard only to contracts that were previously identified as leases applying LKAS 17 at the date of initial application.

The company recognised right of use of assets and lease liabilities for those leases previously classified as operating leases. The right-of-use of assets for leases was recognised at an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments relating to that lease recognised in the statement of financial position immediately before the date of initial application.

Based on the above, the financial statement impact of adopting SLFRS 16 as at 01st April 2019 are summarized below:

	Rs.
Right-of-use assets recognized and presented in the statement of financial position as "Right-of-use-of assets"	139 Mn
Lease liabilities recognized	139 Mn

The adoption of SLFRS 16 had no impact on the company's retained earnings. The details of right-of-use assets are given in note 21 to the financial statements.



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

2.14 Amendments to Accounting Standards issued but not yet effective

Several amendments to Accounting Standards are effective for annual financial periods beginning on or after 01st January 2020, and earlier application is permitted. However, the company has not earlier adopted the following amendments to Accounting Standards in preparing these Financial Statements as they are not expected to have a significant impact on the company's Financial Statements.

2.14.1 Amendments to LKAS 1 and LKAS 8: Definition of Material

In November 2018, the CA Sri Lanka issued amendments to LKAS 1 and Sri Lanka Accounting Standard - LKAS 8 on "Accounting Policies, Changes in Accounting Estimates and Errors" to align the definition of 'material' across the standards and to clarify certain aspects of the term 'definition'. The new definition states that, 'Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose Financial Statements make on the basis of those Financial Statements, which provide financial information about a specific reporting entity.' The company shall apply those amendments prospectively for annual financial periods beginning on or after 01st January 2020.

2.14.2 Amendments to the conceptual framework for financial reporting

CA Sri Lanka has issued a revised Conceptual Framework which will be used in standard-setting decisions with immediate effect. Key changes include:

- increasing the prominence of stewardship in the objective of financial reporting
- reinstating prudence as a component of neutrality
- defining a reporting entity, which may be a legal entity, or a portion of an entity
- revising the definitions of an asset and a liability
- removing the probability threshold for recognition and adding guidance on derecognition
- adding guidance on different measurement basis, and
- stating that profit or loss is the primary performance indicator and that, in principle, income and expenses in other comprehensive income should be recycled where this enhances the relevance or faithful representation of the financial statements.

No changes will be made to any of the current Accounting Standards. However, if the company relies on the framework in determining certain accounting policies for transactions, events or conditions that are not otherwise dealt with under the accounting standards, it will need to apply the revised framework from 01st April 2020. The company will need to consider whether those accounting policies are still appropriate under the revised Framework.



3. SIGNIFICANT ACCOUNTING POLICIES

3.1. Financial instruments - initial recognition, classification and subsequent measurement

3.1.1 Date of recognition

The company initially recognises loans and advances, deposits and subordinated liabilities, etc., on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. Refer Notes 3.1.3 and 3.1.4 for further details on classification of financial instruments.

A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per SLFRS 9 and trade receivables that do not have a significant financing component as defined by SLFRS 15.

Transaction cost in relation to financial assets and financial liabilities at fair value through profit or loss is dealt with through the Income Statement.

Trade receivables that do not have significant financing component are measured at their transaction price at initial recognition as defined in SLFRS 15.

When the fair value of financial instruments (except trade receivables that do not have significant financing component) at initial recognition differs from the transaction price, the company accounts for the Day 1 profit or loss, as described below.

3.1.2.1 "Day 1" profit or loss

When the transaction price of the instrument differs from the fair value at origination and fair value is based on a valuation technique using only inputs observable in market transactions, the company recognises the difference between the transaction price and fair value in net gains/(losses) from trading. In those cases, where the fair value is based on models for which some inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognised in profit or loss when the inputs become observable, or when the instrument is de-recognised.

3.1.3 Classification and subsequent measurement of financial assets

As per SLFRS 9, the company classifies all of its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either;

- Amortised cost
- Fair value through other comprehensive income (FVOCI)
- Fair value through profit or loss (FVTPL)

The subsequent measurement of financial assets depends on their classification.



3.1.3.1 Business model assessment

The company makes an assessment of the objective of a business model in which an asset is held at a portfolio level and not assessed on instrument-by-instrument basis because this best reflects the way the business is managed and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the company's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the company's original expectations, the company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.1.3.2 Assessment of whether contractual cash flows are solely payments of principal and interest (SPPI test)

As a second step of its classification process the company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In contrast, contractual terms that introduce a more than de minimise exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

In assessing whether the contractual cash flows are solely payments of principal and interest on principal amount outstanding, the company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the company considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the company's claim to cash flows from specified assets; and
- features that modify consideration of the time value of money.

Refer Notes 3.1.3.3 to 3.1.3.5. below for details on different types of financial assets recognised in the Statement of Financial Position. (SOFPI)

3.1.3.3 Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets measured at amortised cost are given in Notes 3.1.3.3.1 and 3.1.3.3.2 below.

3.1.3.3.1 Loans and advances to customers

Loans and advances to customers include loans and advances, and lease and hire purchase receivables of the company.

Details of "Loans and advances to customers" are given in Notes 14 and 15.

3.1.3.3.2 Investment in reverse repurchase agreements against the treasury bills and bonds

When the company purchases a financial asset and simultaneously enters into an agreement to resale the asset (or a similar asset) at a fixed price on a future date (reverse repo), the arrangement is accounted for as a financial asset in the SOFP reflecting the transaction's economic substance as a loan granted by the company. Subsequent to initial recognition, these securities issued are measured at amortised cost using the EIR with the corresponding interest income/receivable being recognised as interest income in profit or loss.

Details of "Investment in reverse repurchase agreements against the treasury bills and bonds" are given in Note 12.

3.1.3.3.3 Cash and cash equivalents

Cash and cash equivalents include cash in hand, placements with banks and loans at call and at short notice that are subject to an insignificant risk of changes in their fair value, and are used by the company in the management of its short-term commitments. They are brought to the financial statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the statement of financial position.



3.1.3.4 Financial assets measured at FVOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income.

3.1.3.4.1 Debt instruments measured at FVOCI

Debt instruments are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets, where the asset's cash flows represent payments that are solely payments of principal and interest on principal outstanding. Details of "Debt instruments at FVOCI" are given in Note 19.

3.1.3.4.2 Equity instruments designated at FVOCI

Upon initial recognition, the company elects to classify irrevocably some of its equity investments held for strategic and statutory purposes as equity instruments at FVOCI. Details of "Equity instruments at FVOCI" are given in Note 19.

3.1.3.5 Financial assets measured at FVTPL

As per SLFRS 9, all financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL. Financial assets at fair value through profit or loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

3.1.4 Classification and subsequent measurement of financial liabilities

As per SLFRS 9, the company classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category are,
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

3.1.4.1 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. The company does not have any financial liabilities at fair value through profit or loss.

3.1.4.2 Financial liabilities at amortised cost

Financial liabilities issued by the company that are not designated at FVTPL are classified as financial liabilities at amortised cost under "Due to banks", "Due to customers" or "Other borrowings" as appropriate, where the substance of the contractual arrangement results in the company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity shares. The company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The EIR amortisation is included in "Interest expense" in the Income Statement. Gains and losses too are recognised in the Income Statement when the liabilities are derecognised as well as through the EIR amortisation process.

3.1.4.2.1 Due to banks

Due to banks include bank overdrafts and long-term and short-term loans obtained from banks. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognized in the statement of profit or loss when the liabilities are de-recognized as well as through the EIR amortisation process. Details of "Due to banks" are given in Note 24.

3.1.4.2.2 Due to customers

Due to customers includes fixed deposits and savings deposits. Subsequent to initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognized in the statement of profit or loss when the liabilities are de-recognized as well as through the EIR amortisation process.

Details of "Due to customers" are given in Note 28.

3.1.4.2.3 Other Borrowed Funds

Debt instruments and other borrowings are initially recognised at fair value net of transaction cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the repayable amount (including interest) is recognized in the statement of profit or loss over the period of the loan using the effective interest rate method. Details of "Other Borrowed Funds" are given in Note 26.

3.1.5 Reclassification of financial assets and liabilities

As per SLFRS 9, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

3.1.5.1 Timing of reclassification of financial assets

Consequent to the change in the business model, the company reclassifies all affected assets prospectively from the first day of the first reporting period following the change in the business model (the reclassification date). Accordingly, prior periods are not restated.



3.1.5.2 Measurement of reclassification of financial assets

3.1.5.2.1 Reclassification of Financial Instruments at 'Fair value through profit or loss'

- **To Fair value through other comprehensive income**
The fair value on reclassification date becomes the new gross carrying amount. The EIR is calculated based on the new gross carrying amount. Subsequent changes in the fair value is recognized in OCI.
- **To Amortised Cost**
The fair value on reclassification date becomes the new carrying amount. The EIR is calculated based on the new gross carrying amount.

3.1.5.2.2 Reclassification of Financial Instruments at 'Fair value through other comprehensive income'

- **To Fair value through profit or loss**
The accumulated balance in OCI is reclassified to profit and loss on the reclassification date.
- **To Amortised Cost**
The financial asset is reclassified at fair value. The cumulative balance in OCI is removed and is used to adjust fair value on the reclassification date. The adjusted amount becomes the amortised cost.

EIR determined at initial recognition and gross carrying amount are not adjusted as a result of reclassification.

3.1.5.2.3 Reclassification of Financial Instruments at "Amortised Cost"

- **To Fair value through other comprehensive income**
The asset is remeasured to fair value, with any difference recognised in OCI. EIR determined at initial recognition is not adjusted as a result of reclassification.
- **To Fair value through profit or loss**
The fair value on the reclassification date becomes the new carrying amount. The difference between amortised cost and fair value is recognised in profit and loss.

3.1.6 De-recognition of financial assets and financial liabilities

3.1.6.1 Financial assets

The company de-recognises a financial asset (or where applicable a part thereof) when the contractual rights to the cash flows from the financial asset expire or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all risks and rewards of ownership of the financial asset are transferred or in which the company neither transfers nor retains substantially all risks and rewards of ownership and it does not retain control of the financial asset.

3.1.6.2 Financial liabilities

The company de-recognises a financial liability when its contractual obligations are discharged, cancelled or expire.



3.1.7 Modification of financial assets and financial liabilities

3.1.7.1 Financial assets

If the terms of a financial asset are modified, the company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.

As per SLFRS 9, if the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the company recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in profit or loss. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income.

3.1.7.2 Financial liabilities

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss.

3.1.8 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the SOFP if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the company's trading activity.

3.1.9 Amortised cost and gross carrying amount

The "amortised cost" of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any ECL allowance.

The "gross carrying amount of a financial asset" is the amortised cost of a financial asset before adjusting for any ECL allowance.

3.1.10 Fair value of financial instruments

Fair value measurement of financial instruments including the fair value hierarchy is explained in Note 38.



3.1.11 Identification and measurement of impairment of financial assets

3.1.11.1 Overview of the ECL principles

As per SLFRS 9, the company records an allowance for expected credit losses for loans and advances to customers, debt and other financial instruments measured at amortised cost, debt instruments measured at fair value through other comprehensive income and loan commitments.

SLFRS 9 outlines a “three-stage” model for impairment based on changes in credit quality since initial recognition.

- Stage 1: A financial asset that is not originally credit-impaired on initial recognition is classified in Stage 1. Financial instruments in Stage 1 have their ECL measured at an amount equal to the proportion of lifetime expected credit losses (LTECL) that result from default events possible within next 12 months (12M ECL).
- Stage 2: If a significant increase in credit risk (SICR) since origination is identified, it is moved to Stage 2 and the company records an allowance for LTECL. Refer Note 3.1.11.2 for a description on how the company determines when a significant increase in credit risk has occurred.
- Stage 3: If a financial asset is credit-impaired, it is moved to Stage 3 and the company recognises an allowance for LTECL, with probability of default at 100%. Refer Note 3.1.11.3 for a description on how the company defines credit impaired and default.
- Purchased or originated credit impaired (POCI) financial assets: Financial assets which are credit impaired on initial recognition are categorised within Stage 3 with a carrying value already reflecting the lifetime expected credit losses. The company does not have POCI loans as at the reporting date.

In response to COVID-19, the company undertook a review of its loan portfolios and the ECL for each. The review considered the macroeconomic outlook, client and customer credit quality, the type of collateral held, exposure at default and the effect of payment deferral options as at the reporting date. While certain model inputs including forward-looking information were revised, the ECL models, SICR thresholds, and definitions of default remain consistent with prior periods.

The key judgments and assumptions adopted by the company in addressing the requirements of SLFRS 9 are discussed below:

3.1.11.2 Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information analysis, based on the company's historical experience and expert credit assessment and including forward looking information.

The company considers an exposure to have significantly increased credit risk when contractual payments of a customer are more than 30 days past due in accordance with the rebuttable presumption in SLFRS 9.

The company individually reviews at each reporting date, loans and advances above a predefined threshold to identify whether the credit risk has increased significantly since origination, before an exposure is in default. Such indicators include, inter alia:

- When reasonable and supportable forecasts of future economic conditions directly affect the performance of a customer/group of customers, portfolios or instruments.
- When there is a significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers or instruments.
- When the value of collateral is significantly reduced and/or realisability of collateral is doubtful.
- When a customer is subject to litigation that significantly affects the performance of the credit facility.
- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants
- When the customer is deceased/insolvent.
- When the company is unable to contact or find the customer

Credit facilities/exposures which have one or more of the above indicators are treated as facilities with significant increase in credit risk and assessed accordingly in ECL computations. The company regularly monitors the effectiveness of the criteria used to identify significant increase in credit risk to confirm that the criteria is capable of identifying significant increase in credit risk before an exposure is in default.

For debt instruments having an external credit rating, which are measured at amortised cost or at FVOCI, the company determines significant increase in credit risk based on the generally accepted investment/ non-investment grade definitions published by international rating agencies. Debt instruments are moved to stage 2 if their credit risk increases to the extent that they are no longer considered investment grade.

3.1.11.3 Definition of default and credit impaired assets

The company considers loans and advances to customers be defaulted when:

- The borrower is unlikely to pay its obligations to the company in full, without recourse by the company to actions such as realising security (if any is held); or
- The borrower becomes 90 days past due on its contractual payments.

In addition, the company classifies the financial investments under Stage 3 when the external credit rating assigned to the particular investment is in "default".

In assessing whether a borrower is in default, the company reviews its individually significant loans and advances above a predefined threshold at each reporting date. The company considers non performing credit facilities/customers with one or more of indicators set out in Note 3.1.11.2 above as credit impaired.



3.1.11.4 Movement between the stages

Financial assets can be transferred between the different categories (other than POCI) depending on their relative change in credit risk since initial recognition. Financial instruments are transferred out of stage 2 if their credit risk is no longer considered to be significantly increased since initial recognition based on the assessments described in Note 3.1.11.2. Financial instruments are transferred out of stage 3 when they no longer exhibit any evidence of credit impairment as described above.

3.1.11.5 Grouping financial assets measured on collective basis

The company calculates ECLs either on a collective or an individual basis. Asset classes where the company calculates ECL on individual basis include credit impaired facilities of individually significant customers.

Those financial assets for which, the company determines that no provision is required under individual impairment are then collectively assessed for ECL. For the purpose of ECL calculation on collective basis, financial assets are grouped on the basis of similar risk characteristics. Loans and advances to customers are grouped into homogeneous portfolios, based on a combination of product and customer characteristics.

3.1.11.6. The Calculation of Expected Credit Loss Principle (ECL)

The company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the EIR.

A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculation are outlined below and the key elements are as follows:

- PD: The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio.
- EAD: Exposure At Default is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principle and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities and accrued financing income from missed payments.
- LGD: Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lenders would expect to receive, including realization of any collateral.

3.1.11.7. Forward-looking information

The company incorporates forward-looking information into both its assessment as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL.



The company has identified key drivers of credit risk both quantitative and qualitative for various portfolio segments. Quantitative economic factors are based on economic data and forecasts published by CBSL and supranational organisations such as IMF.

Quantitative drivers of credit risk

GDP growth
Unemployment rate
Interest rate (AWPLR)
Rate of inflation
Exchange rate

Qualitative drivers of credit risk

Status of industry business
Regulatory impact
Government policies

At the reporting date the company adopted an approach recognizing that COVID-19 is the key driver of the macroeconomic outlook at the reporting date.

3.1.12 Write-off of loans and advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realization of security.

3.2 Property, plant and equipment

3.2.1. Basis of recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the company and the cost of the assets can be measured reliably.

3.2.2. Basis of measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalized as a part of computer equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

The company applies the cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

3.2.3. Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The cost of day today servicing of property, plant and equipment is charged to the statement of profit or loss as incurred.

3.2.4. Repairs and maintenance

Repairs and maintenance are charged to the statement of profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

3.2.5. De-recognition

Property, plant and equipment are derecognized on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the statement of profit or loss in the year the asset is de-recognized.

3.2.6. Depreciation

Depreciation is recognized in the statement of profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment since this method most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives are as follows;

Building	8 years
Plant	8 years
Furniture and fittings	6 years
Office equipment	6 years
Motor vehicles	4 years
Computer hardware	6 years

The depreciation rates are determined separately for each significant part of an item of property, plant and equipment and commence to depreciate when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation methods, useful lives and residual values are re-assessed at each reporting date and adjusted, if appropriate.

3.3. Intangible assets

The company's intangible assets include the value of computer software.

3.3.1. Basis of recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard- LKAS 38 on 'Intangible Assets'.



Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are stated in the statement of financial position at cost less any accumulated amortisation and any accumulated impairment losses, if any.

3.3.2. Subsequent expenditure

Subsequent expenditure on intangible assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

3.3.3. Useful economic lives, amortization and impairment

Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognised in the statement of profit or loss in the expense category consistent with the function of the intangible asset.

Amortization is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful economic lives at the rates as specified below;

Computer software - 8 years

3.3.4. De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

3.4 Investment property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, to be used in the production or supply of goods or services or for administrative purposes.

Investment properties are initially recognised at cost. Subsequent to initial recognition, the investment properties are stated at cost.

3.4.1 De-recognition

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the statement of profit or loss in the year of retirement or disposal.

3.4.2 Subsequent transfers to/from investment property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.



Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sell.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the company as an owner occupied property becomes an investment property, the company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss. When the company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss.

3.5 Impairment of non-financial assets

The carrying amounts of the company's non-financial assets, other than deferred tax assets are reviewed at each reporting date to assess whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing of an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or cash - generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share price for publicly traded subsidiaries or other available fair value indicators.

Impairment losses are recognised in the income statement, except that, impairment losses in respect of property, plant and equipment previously revalued are recognised against the revaluation reserve through the statement of other comprehensive income to the extent that it reverses a previous revaluation surplus.

The Company has not determined impairment as at the reporting date due to the COVID-19 pandemic, and each department functions under the business continuity plan as per the Company's risk management strategy, allowing operations to function through alternate working arrangements, whilst strictly adhering to and supporting government directives.

3.6 Deferred tax assets

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date. Deferred tax liabilities are recognised for all taxable temporary differences. Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.



The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

3.7 Real estate inventories

Real estate inventories represent the purchase value of properties acquired for re-sale. Carrying value of the real estate stocks as at the reporting date represents the purchase value of properties and any subsequent expenditure incurred on developing of such properties.

3.8 Fiduciary assets

The company provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity are not reported in these financial statements as they do not belong to the company.

3.9 Other assets

The company classifies all its other assets as other assets and other non-financial assets. Other assets mainly comprise advance payments, VAT receivable and sundry receivables. Advance payments are carried at historical cost.

3.10 Provisions

Provisions are recognized in the statement of financial position when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provision, Contingent Liabilities and Contingent Assets'. The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the statement of profit or loss net of any reimbursement.



3.11 Leases

3.11.1. Application as per SLFRS 16 (Applicable from April 1, 2019)

3.11.1.1 Right-Of-Use Assets - Company as a Lessee

a) Basis of recognition

The company applies Sri Lanka Accounting Standard SLFRS 16 "Leases" in accounting for all lease hold rights except for short term leases, which are held for use in the provision for services.

b) Basis of Measurement

The company recognises right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. Right-of-use assets are measured at cost less any accumulated amortization and impairment losses and adjusted for any re-measurement of lease liabilities. The cost of the right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received.

c) Depreciation

Right-of-use assets are depreciated over the lease term of the assets as there is no reasonable certainty that the company will obtain the ownership of such assets by the end of the lease term.

3.11.1.2 Lease Liability

At the commencement date of the lease, the company recognises lease liabilities, measured at present value of lease payments to be made over the lease term. The present value of lease commitments as at 1st April 2019 has been calculated using the weighted average incremental borrowing rate of 15%. The company applied the modified retrospective approach in accordance with SLFRS 16 when accounting for right-of-use assets and operating lease liabilities.

Details of "Right-of-use asset" and "Lease liability" are given in Notes 21 and 27 respectively.

3.11.1.3 Finance leases - Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the company recognises assets held under finance lease in the Statement of Financial Position and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value of lease payments to equal to the fair value of the underlying asset and initial direct costs. The company's net investment in lease is included in Note 15 on "Financial assets at amortised cost - Lease rentals receivable and hire purchase", as appropriate. The finance income receivable is recognised in "Interest income" over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.



3.11.1.4 Operating leases - Company as a lessor

As per SLFRS 16, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset. The company recognises lease payments from operating leases as income on a straight-line basis. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

3.12 Other liabilities

Other liabilities include related party payables, VAT on Financial Services payable, retirement benefit obligation and other amount payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

Value Added Tax (VAT) on Financial Services

Value Added Tax (VAT) on Financial Services is calculated in accordance with Value Added Tax Act No. 14 of 2002 and subsequent amendments thereto. The base for Value Added Tax computation of Value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rates.

3.13 Retirement benefit obligation

The company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an Independent professional actuary using the 'Projected Unit Credit method' (PUC) as required by the Sri Lanka Accounting Standard- LKAS 19 on 'Employee Benefits'.

3.13.1 Recognition of actuarial gains and losses

The company recognizes the total actuarial gains and losses that arise in calculating the company's obligation in respect of the plan in other comprehensive income during the period in which it occurs.

3.13.2 Funding arrangements

The gratuity liability is not externally funded.

3.13.3 Defined contribution plans -Employees' Provident Fund

The company and employees contribute to the Employees' Provident Fund managed by the Central Bank of Sri Lanka at 12% and 8% respectively on the gross salary of each employee.

Defined contribution plans -Employees' Trust Fund

The company contributes to the Employees' Trust Fund at 3% on the gross salary of each employee.

3.14 Dividends payable

Dividends on ordinary shares are recognized as a liability and deducted from equity when they are recommended by and declared by the Board of Directors and approved by the shareholders. Interim dividends are deducted from equity when they are declared and are no longer at the discretion of the company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date in accordance with the Sri Lanka Accounting Standard- LKAS 10 on 'Events after the Reporting period'. Withholding Tax on Dividends, distributed by the company are recognized at the time the liability to pay the related dividend is recognized.



3.15 Income

Income is recognized to the extent that it is probable that the economic benefits will flow to the company and revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are as follows:

3.15.1 Net interest income

3.15.1.1 Interest income and interest expense

Interest income and expense are recognised in the Income Statement using the effective interest rate (EIR) method.

As per SLFRS 9, the Interest income and expense presented in the Income Statement include:

- Interest on financial assets measured at amortised cost calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

Effective Interest Rate (EIR)

The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using estimated future cash flows including ECLs. The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost.

The calculation of the EIR includes transaction costs and fees and points paid or received that are an integral part of the EIR.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted EIR to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

3.15.2 Net trading gain/loss on held for trading securities

Results arising from trading activities include all gains and losses from changes in fair value for financial assets 'held for trading'.

3.15.3 Net Fee and Commission Income

Fee and commission income is earned from a diverse range of services provided by the company to its customers. Fees and commission income is accounted for as follows:

- Income earned on the execution of a significant act is recognised as revenue when the act is completed and
- Income earned from the provision of services is recognised as revenue as the services are provided.

3.15.4 Other operating income

Other operating income includes gains on property, plant and equipment, hiring income, rent income, dividend income and capital gains/(losses).

3.15.4.1 Dividend income

Dividend income is recognized when the company's right to receive the income is established.

3.15.4.2 Gain or losses on disposal of property plant and equipment, Investment property and real estates

Gains or losses resulting from the disposal of property, plant and equipment, investment properties and real estates are accounted for on cash basis in the statement of profit or loss, in the period in which the sale occurs.

3.15.4.3 Other Income

Other income is recognized on an accrual basis.

3.16 Personnel expenses

Personnel expenses include salaries and bonus, terminal benefit charges and other related expenses. The provision for bonus is recognized when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation.

Employees are eligible for Employees' Provident Fund (EPF) contributions and Employees' Trust Fund (ETF) contributions in accordance with the respective statutes and regulations.

3.17 General and administrative expense

General and administration expenses are recognized in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency have been charged to the statement of profit or loss in arriving at the profit for the year.

3.18 Income tax expense

Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid, to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto at the rate of 24%.

3.19 Earnings Per Share (EPS) - basic

Basic earnings per share is calculated by dividing the net profit for the year attributable to equity holders of the company by the weighted average number of ordinary shares outstanding during the year, as per LKAS 33 - Earnings per share.



3.20 Contingent liabilities and commitments

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard- LKAS 37 on 'Provisions, Contingent Liabilities and Contingent Assets'. Contingent Liabilities are not recognized in the statement of financial position but are disclosed unless its occurrence is remote.

Details of the commitments and contingencies are given in note 33 to the financial statements.

3.21 Events after the reporting period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in the financial statements, where necessary.

3.22 Statement of cash flows

The statement of cash flows has been prepared by using 'The Indirect Method' in accordance with the Sri Lanka Accounting Standard - 'LKAS 7' - 'Statement of Cash Flows', whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognized. Cash and cash equivalents mainly comprise cash in hand, balances at banks and bank overdrafts.

3.23 Segment reporting

An operating segment is a component of the company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components. All operating segments' operating results are reviewed regularly by the senior management to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the senior management personnel and the Board of Directors include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The relevant disclosures are given in note 39 to the financial statements.

3.24 Fair value measurement

"Fair value" is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.



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If there is no quoted pricing in an active market, then the company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The fair value of an asset or a liability is measured using the assumptions that market participants would use the fair value hierarchy when pricing the asset or liability, assuming that market participants act in their economic best interest.

The company recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

An analysis of fair value measurement of financial and non-financial assets and liabilities is provided in note 38 to the financial statements.



	2019/2020 Rs.	2018/2019 Rs.
4. INTEREST INCOME		
Interest on leases	1,180,119,244	892,924,491
Interest on hire purchase	25,375	4,536,076
Interest on loans	973,380,883	1,178,059,100
Overdue interest	119,095,322	73,337,230
Interest on treasury bills in reverse repurchase agreements	74,315,066	63,800,295
Interest on bank deposits	35,549,481	24,041,600
Interest on commercial papers	6,170,583	6,234,305
Interest on gold loans	655,053,124	479,727,848
	<u>3,043,709,078</u>	<u>2,722,660,945</u>
5. INTEREST EXPENSES		
Interest on fixed deposits	788,668,229	849,927,396
Interest on other borrowings	898,331,151	583,438,948
Interest on right-of-use asset-leased liability	17,234,710	-
	<u>1,704,234,090</u>	<u>1,433,366,344</u>
6. OTHER OPERATING INCOME		
Documentation charges and service charges	213,023,375	85,754,098
Gains from disposal of property, plant and equipment, investment property and real estate inventories	-	2,928,298
Profit on settled contracts	51,580,552	35,561,373
Dividend income	280,000	211,164
Operating lease income	2,656,940	1,576,271
Insurance commission income	20,778,315	15,944,120
Sundry income	580,537	4,050,012
Cheque discounting administration income	-	41,433
Money gram income	10,482	38,264
	<u>288,910,201</u>	<u>146,105,033</u>
7. IMPAIRMENT CHARGE FOR LEASE RENTALS RECEIVABLE, HIRE PURCHASE, LOANS AND ADVANCES		
Lease rentals receivable and hire purchase	115,717,822	96,535,222
Loans and advances	265,927,292	261,085,575
	<u>381,645,114</u>	<u>357,620,797</u>
8. PROFIT BEFORE INCOME TAX		

Profit before income tax is stated after charging all expenses including the following :

Included in personnel cost,
Directors' remuneration
Salaries and bonus
Defined contribution plan costs - EPF and ETF
Other staff related expenses
Included in general and administration expenses,
Depreciation and amortization
Amortization on right of use assets
Auditors' remuneration - External audit current year
- Non audit
Advertising and business promotion
Professional and legal fees

16,994,200	16,087,000
188,620,945	171,826,518
28,545,964	26,013,538
76,421,719	66,869,834
51,791,363	51,006,612
29,177,605	-
2,209,227	1,679,000
4,304,100	739,599
20,545,618	16,409,671
14,163,067	12,788,275



	Note	2019/2020 Rs.	2018/2019 Rs.
9. INCOME TAX EXPENSES			
Major components of income tax expense for the year ended 31st March are as follows:			
Statement of profit or loss			
Current income tax			
Current income tax charge	9.1	-	-
Underprovision of current taxes in respect of prior years		-	29,765,346
Deferred tax			
Deferred taxation	9.2	23,162,926	(36,788,125)
Income tax expense/(income) reported in the profit or loss		<u>23,162,926</u>	<u>(7,022,779)</u>
Statement of other comprehensive income			
Deferred tax			
Deferred taxation expense		498,152	201,400
Income tax expenses reported in the other comprehensive income		<u>498,152</u>	<u>201,400</u>
9.1 Reconciliation of accounting profit and taxable income			
Accounting profit (profit before income tax)		93,316,292	93,907,039
Add: Disallowable expenses		551,980,141	903,780,377
Less: Allowable expenses		(833,211,772)	(1,447,288,260)
Less: Exempt income		(51,860,552)	(2,210,560)
Add: Adjusted business profit from leasing business		248,088,180	1,925,358
Statutory income/(loss)		8,312,289	(449,886,046)
Tax loss brought forward and utilized		(8,312,289)	-
Taxable income/(loss)		-	(449,886,046)
Income tax expense		-	-
Effective income tax rate		-	-
9.2 Deferred tax assets			
Balance as at 01st April		249,583,725	112,814,714
Deferred tax on transitional adjustments		-	100,182,286
Balance as at 01st April		<u>249,583,725</u>	<u>212,997,000</u>
(Charge)/reversal for the year			
Statement of profit or loss		(23,162,926)	36,788,125
Statement of other comprehensive income		(498,152)	(201,400)
Balance as at 31st March		<u>225,922,647</u>	<u>249,583,725</u>
9.3 Deferred tax assets and liabilities relate to the following:			
		Statement of financial position	
		2019/2020 Rs.	2018/2019 Rs.
Deferred tax liability			
Property, plant and equipment		(18,466,531)	(25,174,546)
Right-of-use asset		(2,642,300)	-
		<u>(21,108,831)</u>	<u>(25,174,546)</u>
Deferred tax assets			
Retirement benefit obligation		7,193,487	6,184,778
Carried forward tax loss and unused tax credits		119,742,197	171,428,281
Transitional adjustment		68,696,425	-
Lease rental receivable		34,663,144	66,101,305
Allowance for impairment of loans and receivables		16,736,225	31,043,907
		<u>247,031,478</u>	<u>274,758,271</u>
Net deferred tax asset		<u>225,922,647</u>	<u>249,583,725</u>



9. INCOME TAX EXPENSES (CONTD.)

Deferred tax has been determined based on the effective tax rate of 24%.

*As of 31st March, 2020, the company has a tax loss amounting to Rs. 498,925,821/- (2019 - Rs. 808,073,451/-) which is available for 5 years for offsetting against future Statutory Income of the company. In each year of assessment, A deferred tax asset has been recognized up to a tax loss of Rs. 498,925,821/- (2019- Rs.612,149,401/-) which has arisen from Leasing and Non Finance Leasing Business.

The carrying amount of deferred tax assets is reviewed by the management at each reporting date and recognized to the extent of probable taxable profits in 4 years time as recommended by IR Act No. 24 of 2017.

10. CLASSIFICATION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

10.1 AS AT 31ST MARCH 2020

Assets	FVTOCI Rs.	FVTPL Rs.	Amortized Cost Rs.	Total Rs.
Cash and cash equivalents	-	-	511,939,133	511,939,133
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	-	-	860,630,696	860,630,696
Loans and advances at amortized cost	-	-	8,913,047,650	8,913,047,650
Lease rentals receivable and hire purchase at amortized cost	-	-	3,726,488,702	3,726,488,702
Financial assets - fair value through OCI	506,659	-	-	506,659
Total financial assets	506,659	-	14,012,106,181	14,012,612,840
			Financial liabilities at amortized cost Rs.	Total Rs.
Liabilities				
Due to customers			6,585,234,705	6,585,234,705
Due to banks			58,777,776	58,777,776
Other borrowed funds			6,086,325,326	6,086,325,326
Total financial liabilities			12,730,337,807	12,730,337,807

10.2 As at 31st March, 2019

Assets	FVTOCI Rs.	FVTPL Rs.	Amortized Cost Rs.	Total Rs.
Cash and cash equivalents	-	-	643,777,198	643,777,198
Investment in reverse repurchase agreements against treasury bills and bonds	-	-	691,744,740	691,744,740
Financial assets - fair value through profit and loss	-	125	-	125
Loans and advances at amortized cost	-	-	7,453,374,463	7,453,374,463
Lease rentals receivable and hire purchase at amortized cost	-	-	4,102,651,935	4,102,651,935
Financial assets - fair value through OCI	506,659	-	-	506,659
Total financial assets	506,659	125	12,891,548,336	12,892,055,120
			Financial liabilities at amortized cost Rs.	Total Rs.
Financial liabilities				
Due to customers			6,617,344,955	6,617,344,955
Due to banks			131,273,907	131,273,907
Other borrowed funds			4,958,735,615	4,958,735,615
Total financial liabilities			11,707,354,477	11,707,354,477

FVTOCI - Fair value through other comprehensive income
FVTPL - Fair value through profit or loss



	Note	31.03.2020 Rs.	31.03.2019 Rs.
11. CASH AND CASH EQUIVALENTS			
Cash in hand		75,502,668	5,221,399
Cheque in hand		12,309,508	30,000
Cash at banks		424,126,957	638,525,799
		<u>511,939,133</u>	<u>643,777,198</u>
12. INVESTMENT IN REVERSE REPURCHASE AGREEMENTS AGAINST TREASURY BILLS AND BONDS			
Reverse repurchase agreements against treasury bills and bonds		860,630,696	691,744,740
		<u>860,630,696</u>	<u>691,744,740</u>
13. FINANCIAL ASSETS-FAIR VALUE THROUGH PROFIT OR LOSS			
Quoted equity securities	13.1	-	125
		<u>-</u>	<u>125</u>
13.1 Quoted equity securities			
		31.03.2020	31.03.2019
		Number of shares	Number of shares
		Market value Rs.	Market value Rs.
Central Investments and Finance PLC		-	50
Swarnamahar Finance PLC		-	50
Total		<u>-</u>	<u>100</u>
			<u>125</u>



	Note	31.03.2020 Rs.	31.03.2019 Rs.
14. FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES			
Gross loans and advances		9,819,980,963	8,293,241,005
Stage 1		5,791,952,342	6,128,718,981
Stage 2		542,827,585	313,400,161
Stage 3		3,485,201,037	1,851,121,863
Less: Provision for impairment		906,933,313	839,866,542
Stage 1	14.2.1.	58,249,662	179,587,839
Stage 2	14.2.2.	29,179,872	32,390,823
Stage 3	14.2.3.	819,503,779	627,887,880
Net loans and advances		<u>8,913,047,650</u>	<u>7,453,374,463</u>
14.1 Loans and advances - Analysis by product			
Mortgage loans		1,614,042,596	1,069,343,238
Pledge loans		458,818,439	488,631,357
Personal and corporate loans		1,915,381,361	1,994,581,447
Group personal loans		651,155,230	795,018,850
Cheque and invoice discounting		11,810,284	11,778,093
Micro finance loans		782,987,172	1,115,196,074
Sale and lease back loans		1,000,001	1,000,001
Project financing loan		115,072,724	115,052,685
Gold loan		4,269,713,156	2,702,639,260
		<u>9,819,980,963</u>	<u>8,293,241,005</u>
14.2 Movement in provision for impairment during the year (Under SLFRS 9)			
14.2.1 Movement in stage 1 impairment			
Balance as at 01st April		179,587,839	268,645,258
Write back to the income statement		(121,338,177)	(89,057,419)
Balance as at 31st March		<u>58,249,662</u>	<u>179,587,839</u>
14.2.2 Movement in stage 2 impairment			
Balance as at 01st April		32,390,823	23,152,385
Charge/(write back) to the income statement		(3,210,951)	9,238,438
Balance as at 31st March		<u>29,179,872</u>	<u>32,390,823</u>
14.2.3 Movement in stage 3 impairment			
Balance as at 01st April		627,887,880	501,605,874
Charge to the income statement		394,483,287	340,904,556
Write-off during the year		(198,860,521)	(241,828,600)
Interest accrued/(reversals) on impaired loans and advances		(4,006,867)	27,206,050
Balance as at 31st March		<u>819,503,779</u>	<u>627,887,880</u>
14.2.4 Movement in total impairment			
Balance as at 01st April		839,866,542	793,403,517
Charge to the income statement		269,934,159	261,085,575
Write - off during the year		(198,860,521)	(241,828,600)
Interest accrued/(reversals) on impaired loans and advances		(4,006,867)	27,206,050
Balance as at 31st March		<u>906,933,313</u>	<u>839,866,542</u>

	Note	31.03.2020 Rs.	31.03.2019 Rs.
14.	FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD.)		
14.4	Impairment charge to the Income statement		
	Loans and advances to customers		
	Stage 1	(121,338,177)	(89,057,419)
	Stage 2	(3,210,951)	9,238,438
	Stage 3	390,476,420	340,904,556
	Total	<u>265,927,292</u>	<u>261,085,575</u>
15.	FINANCIAL ASSETS AT AMORTISED COST - LEASE RENTALS RECEIVABLE AND HIRE PURCHASE		
	Gross lease rental receivables and hire purchase	4,014,813,440	4,275,258,850
	Stage 1	2,787,829,382	3,542,416,480
	Stage 2	452,754,414	300,427,914
	Stage 3	774,229,644	432,414,456
	Less: Provision for impairment	288,324,738	172,606,915
	Stage 1	15.2.1 95,808,518	87,045,635
	Stage 2	15.2.2 32,169,730	11,147,399
	Stage 3	15.2.3 160,346,489	74,413,881
	Provision for collective impairment	-	-
	Net lease rentals receivable and hire purchase	<u>3,726,488,702</u>	<u>4,102,651,935</u>
15.1	Lease rentals receivable and hire purchase		
	Lease rentals receivables	15.1.1 3,711,805,061	4,098,865,738
	Hire purchases	15.1.2 14,683,641	3,786,197
		<u>3,726,488,702</u>	<u>4,102,651,935</u>
15.1.1	Lease rentals receivables		
	Gross rentals receivable	5,205,084,441	5,403,750,521
	Less: Unearned income	(1,433,988,222)	(1,467,688,554)
	Prepaid rentals	(2,377,814)	(2,377,814)
	Lease capitalized charges	213,353,270	308,172,497
	Allowance for impairment losses	(270,266,614)	(142,990,912)
		<u>3,711,805,061</u>	<u>4,098,865,738</u>
15.1.2	Hire purchase receivables		
	Gross rentals receivable	32,894,899	35,480,499
	Less: Unearned income	(153,134)	(179,089)
	Pre-paid rentals	-	(1,899,210)
	Allowance for impairment losses	(18,058,124)	(29,616,003)
		<u>14,683,641</u>	<u>3,786,197</u>
15.2	Movement in provision for impairment during the year (Under SLFRS 9)		
15.2.1	Movement in stage 1 impairment		
	Balance as at 01st April	87,045,635	39,968,500
	Charge to the income statement	8,762,883	47,077,135
	Balance as at 31st March	<u>95,808,518</u>	<u>87,045,635</u>



	31.03.2020 Rs.	31.03.2019 Rs.
15. FINANCIAL ASSETS AT AMORTISED COST - LEASE RENTALS RECEIVABLE AND HIRE PURCHASE (CONTD....)		
15.2.2 Movement in stage 2 impairment		
Balance as at 01st April	11,147,399	4,969,350
Charge to the income statement	21,022,331	6,178,049
Balance as at 31st March	<u>32,169,730</u>	<u>11,147,399</u>
15.2.3 Movement in stage 3 impairment		
Balance as at 01st April	74,413,881	95,956,282
Charge to the income statement	88,628,030	43,280,038
Write-off during the year	-	(61,770,351)
Interest reversals on impaired loans and advances	(2,695,422)	(3,052,088)
Balance as at 31st March	<u>160,346,489</u>	<u>74,413,881</u>
15.2.4 Movement in total impairment		
Balance as at 01st April	172,606,915	140,894,132
Charge to the income statement	118,413,244	96,535,222
Write-off during the year	-	(61,770,351)
Interest reversals on impaired loans and advances	(2,695,422)	(3,052,088)
Balance as at 31st March	<u>288,324,737</u>	<u>172,606,915</u>
15.2.5 Impairment charge to the income statement		
Lease receivable and hire purchase		
Stage 1	8,762,883	47,077,135
Stage 2	21,022,331	6,178,049
Stage 3	85,932,608	43,280,038
Total	<u>115,717,822</u>	<u>96,535,222</u>
15.3.1 Age analysis of lease and hire purchase		
15.3.1.1 Lease and hire purchase receivable not later than 1 year		
Gross rentals receivable	823,289,824	462,502,951
Less: Unearned income	(36,331,161)	(45,992,688)
Prepaid rentals	(192,920)	(4,277,025)
Lease capitalized charges	42,083,600	23,272,205
Allowance for impairment losses	(75,475,914)	(34,241,697)
	<u>753,373,429</u>	<u>401,263,746</u>
15.3.1.2 Lease and hire purchase receivable later than 1 year and not later than 5 years		
Gross rentals receivable	4,022,532,885	4,976,728,069
Less: Unearned income	(1,007,839,791)	(1,421,874,954)
Lease capitalized charges	171,271,001	284,900,292
Allowance for impairment losses	(212,848,822)	(138,365,218)
	<u>2,973,115,274</u>	<u>3,701,388,189</u>



	31.03.2020 Rs.	31.03.2019 Rs.
16. OTHER ASSETS		
Other receivables	16,983,813	16,511,803
	<u>16,983,813</u>	<u>16,511,803</u>
17. INCOME TAX RECEIVABLE		
Balance at the beginning of the year	3,732,303	362,927
Income tax expense for the year	-	-
Underprovision of previous year	-	(29,765,346)
	<u>3,732,303</u>	<u>(29,402,419)</u>
Income tax paid	8,900,107	19,626,029
Add: Tax credits		
WHT and notional tax	1,264,129	1,517,201
ESC paid	13,840,041	11,891,452
Balance at the end of the year	<u>27,736,580</u>	<u>3,732,303</u>
18. ADVANCES, DEPOSITS AND PREPAYMENTS		
Advances, deposits and prepayments	156,189,223	155,155,197
	<u>156,189,223</u>	<u>155,155,197</u>

	31.03.2020		31.03.2019	
	Number of shares	Directors' valuation* Rs.	Number of shares	Directors' valuation* Rs.
19. FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME				
Unquoted cumulative redeemable preference shares				
Platinum Realty Investment Limited	25,000	6,500,000	25,000	6,500,000
Less : Impairment charge		(6,500,000)		(6,500,000)
		-		-
Unquoted Ordinary shares				
Finance Houses Consortium (Private) Limited	45,000	200,000	45,000	200,000
Credit Information Bureau of SL (CRIB)	67	306,659	67	306,659
	<u>45,067</u>	<u>506,659</u>	<u>45,067</u>	<u>506,659</u>

*The Directors' valuation of non-quoted securities based on cost of investment less impairment amounts to Rs.506,659/- (2019 - Rs.506,659/-).

20. PROPERTY, PLANT AND EQUIPMENT

20.1 Gross carrying amounts

	Balance as at 01.04.2019 Rs.	Additions Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2020 Rs.
Freehold assets				
Cost				
Plant	25,930,613	-	-	25,930,613
Motor vehicle	69,525,110	-	(2,730,973)	66,794,137
Office equipment	137,149,233	21,058,007	-	158,207,240
Computers	43,880,698	5,858,509	(80,568)	49,658,639
Furniture and fittings	24,323,609	870,690	-	25,194,299
	<u>300,809,263</u>	<u>27,787,206</u>	<u>(2,811,541)</u>	<u>325,784,928</u>

20.2 Accumulated depreciation

	Balance as at 01.04.2019 Rs.	Charge for the year Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2020 Rs.
Plant	10,804,423	3,241,327	-	14,045,750
Motor vehicle	36,552,151	14,467,932	(2,311,633)	48,708,450
Office equipment	80,459,156	20,424,630	-	100,883,786
Computers	19,507,648	6,997,978	(80,568)	26,425,058
Furniture and fittings	14,805,305	2,884,097	-	17,689,402
	<u>142,128,683</u>	<u>48,015,964</u>	<u>(2,392,201)</u>	<u>187,752,446</u>

	31.03.2020 Rs.	31.03.2019 Rs.
Net Book value		
Plant	11,884,863	15,126,190
Motor vehicle	18,085,687	32,972,959
Office equipment	77,323,454	76,690,077
Computers	23,233,581	24,373,050
Furniture and fittings	7,504,897	9,518,304
	<u>138,032,482</u>	<u>158,680,580</u>



20. PROPERTY, PLANT AND EQUIPMENT (CONTD....)

20.3 During the financial year, the company acquired property, plant and equipment to the aggregate value of Rs.27,787,206/- (2019 -Rs.57,293,522/-). Cash payments amounting to Rs.27,787,206/- (2019 - Rs.57,169,292/-) were paid during the year for the purchases of property, plant and equipment.

20.4 Property, plant and equipment include fully depreciated assets having a gross carrying amount of Rs. 31,728,603/- (2019- 27,299,574/-).

20.5 Temporarily idle property, plant and equipment

There were no property, plant or equipment idling as at 31st March 2020 and 31st March 2019.

20.6 Title restriction on property, plant and equipment

There was no restriction on the title of property, plant and equipment as at 31st March 2020 and 31st March 2019.

20.7 Property, plant and equipment pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities as at 31st March 2020 and 31st March 2019.

	31.03.2020 Rs.	31.03.2019 Rs.
21. RIGHT-OF-USE-ASSET ON LEASE		
Cost		
Balance as at 01/04/2019	-	-
Day 1 impact from application of SLFRS 16	139,021,582	-
Restated balance as at 01/04/2019	139,021,582	-
Additions / renewal operating lease during the year	27,366,480	-
Expiration of operating lease agreement during the year	-	-
Balance as at 31/03/2020	166,388,062	-
Accumulated amortization		
Balance as at 01/04/2019	-	-
Amortization for the year	29,177,605	-
Balance as at 31/03/2020	29,177,605	-
Net book value as at 31/03/2020	137,210,457	-
	31.03.2020 Rs.	31.03.2019 Rs.

22. INVESTMENT PROPERTY

Balance at the beginning of the year	393,818,513	332,385,530
Acquisitions during the year	5,859,596	57,813,300
Disposals during the year	-	(16,380,317)
Balance at the end of the year	399,678,109	393,818,513

Fair value of the investment property for the purpose of disclosure in note 22.2 was ascertained by valuations carried out by independent valuers as required by LKAS 40.

	31.03.2020 Rs.	31.03.2019 Rs.
22.1 The amounts recognized to profit or loss on investment property is as follows :		
Direct expenses (including security charges and other utility charges)	604,460	2,101,123
	604,460	2,101,123



22. INVESTMENT PROPERTY (CONTD..)

22.2 Fair value of the Investment property

Location of the land	Valuer's name and report date	Total extent	31.03.2020		31.03.2019	
			Fair value Rs.	Cost Rs.	Fair value Rs.	Cost Rs.
Lot 05, Dangahahena Land, Anameduwa Road, Andigama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	39.04 P (0.09965 Ha)	12,000,000	1,250,000	12,000,000	1,250,000
No. 25/20, Kalyani Mawatha, Mabola, Wattala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	26.93P	48,700,000	12,453,317	48,700,000	12,453,317
Lot No. 01 at Andilambalama, Kimbulapitiya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	14.00 P	4,900,000	3,674,840	4,900,000	3,500,000
Gonapola Land (No.358, Horana-Colombo Road, Kumbuka Gonapola).	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	02R-01.10 P (0.2051 Ha)	31,800,000	19,844,621	31,800,000	19,815,000
Manipay Land (No 55 Nachchimar Kovil Road, Manipay).	V. Selvanayagam AIV (Incorporated Valuer) - valuation report dated 08th April, 2019.	10.50 Lms	13,000,000	9,000,000	13,000,000	9,000,000
No.21, 14th Lane, J. Jothipala Mawatha, Malabe.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	10.00 P (0.0253 Ha)	16,200,000	12,865,866	16,200,000	12,865,866
Lot 1-46 Plan No:3393 at Tembiligaha, Pallegama, Gampola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	02A-02R-15 P	20,500,000	15,064,221	20,500,000	14,964,221
Lot no:1 in Plan No:5644 at Lenadora, Dambulla.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	01A-02R-02.60 P (0.6122 Ha)	47,800,000	16,644,799	47,800,000	16,644,799
Oslo Furnitures Industries (Pvt) Ltd, Welisara, Maspotha, Kurunegala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	01R-35.00 P (0.1897 Ha)	52,500,000	46,344,684	52,500,000	46,344,684



22. INVESTMENT PROPERTY (CONTD...)

22.2 Fair value of the investment property (contd....)

Location of the land	Valuer's name and report date	Total extent	31.03.2020		31.03.2019	
			Fair value Rs.	Cost Rs.	Fair value Rs.	Cost Rs.
Sandiyakalikulda & Mundalamakadu of Puttalam Rd, Mundalama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 25th March, 2019.	05A-03R-30 P	50,400,000	35,300,000	50,400,000	35,000,000
Karukotttheevu, Thamputtai 02, Akkaraipattu.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	10A-01R-05P (4.1602 Ha)	115,000,000	95,236,734	115,000,000	95,236,734
Galapitamillahena, Polarambegama, Kegalle.	D. Jayawardene (Incorporated Valuer) - valuation report dated 25th March 2020.	6A-01R-00P (2.52928 Ha)	25,000,000	25,374,000	25,000,000	25,374,000
No:95, Mallattawela, Wellawaya	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March 2019.	11.80 P (0.04346 Ha)	9,000,000	5,255,135	-	-
Lot No:1538 in Plan No:4813/99 at Udangawa, Ambanpola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 09th March, 2018.	10.00P. (0.325 Ha)	13,000,000	12,103,871	13,000,000	12,103,871
Lot No:1 in Plan No:1520 & Lot No:1 in Plan No:1522, 'EVERTON ESTATE', Pothupitiya Road, Rakwana.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March, 2019.	73A-03R- 17.50P	62,000,000	27,357,721	62,000,000	27,357,721
No:723/53, "Lake Terrace" Jayasinghe Mawatha, Korathota Road, Athurugiriya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 27th March, 2018.	23.52 P	7,150,000	6,016,123	7,150,000	6,016,123
"Kapiwatta" Lot No-A, Plovatta Road, Minuwangoda.	D. Jayawardene (Incorporated Valuer) - valuation report dated 25th May, 2018.	01A-0R-01..49P (0.4085 Ha.)	54,000,000	55,892,177	54,000,000	55,892,177
			582,950,000	399,678,109	573,950,000	393,818,513



	Balance as at 01.04.2019 Rs.	Additions Rs.	Disposals / transfers Rs.	Balance as at 31.03.2020 Rs.
23. INTANGIBLE ASSETS				
23.1 Gross carrying amounts				
Cost				
Intangible asset	29,598,737	32,952,128	-	62,550,865
	<u>29,598,737</u>	<u>32,952,128</u>	<u>-</u>	<u>62,550,865</u>
23.2 Amortization				
	Balance as at 01.04.2019 Rs.	Charge for the year Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2020 Rs.
Intangible asset	18,555,127	3,775,399	-	22,330,526
	<u>18,555,127</u>	<u>3,775,399</u>	<u>-</u>	<u>22,330,526</u>
Net book value			31.03.2020 Rs.	31.03.2019 Rs.
Intangible asset			40,220,339	11,043,610
			<u>40,220,339</u>	<u>11,043,610</u>
24. FINANCIAL LIABILITIES DUE TO BANKS				
Due to banks- bank overdrafts			58,777,776	131,273,907
			<u>58,777,776</u>	<u>131,273,907</u>
25. OTHER LIABILITIES				
Accrued expenses and other payables			96,622,133	217,163,369
			<u>96,622,133</u>	<u>217,163,369</u>



			31.03.2020 Rs.	31.03.2019 Rs.
26.	FINANCIAL LIABILITIES - OTHER BORROWED FUNDS			
	Securitized borrowings		5,031,560,902	3,607,522,368
	Bank loans		1,054,764,424	1,351,213,247
			<u>6,086,325,326</u>	<u>4,958,735,615</u>
26.1	Securitized borrowings			
26.1.1	Securitized borrowings			
	As at 31.03.2019 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.
				As at 31.03.2020 Rs.
Securitization Loan 07	28,218,033	-	4,884,283	33,102,316
Securitization Loan 12	81,614,478	-	829,377	82,443,855
Securitization Loan 14	16,131,616	-	868,665	17,000,281
Securitization Loan 15	49,999,000	-	2,860,411	52,859,411
Securitization Loan 16	252,001,829	-	20,056,139	180,959,604
Securitization Loan 17	703,378,775	-	55,550,086	649,571,218
Securitization Loan 18	253,211,278	-	15,246,991	215,136,653
Securitization Loan 19	453,792,839	-	39,508,405	344,646,521
Securitization Loan 20	427,115,767	-	50,260,360	276,923,077
Securitization Loan 21	314,675,723	-	34,418,481	325,538,462
Securitization Loan 22	622,264,150	-	90,443,712	183,467,420
Securitization Loan 23	405,118,879	-	56,000,111	283,351,358
Securitization Loan 24	-	1,000,000,000	127,537,585	323,737,205
Securitization Loan 25	-	600,000,000	58,047,041	141,785,397
Securitization Loan 26	-	347,691,599	35,119,519	46,580,370
Securitization Loan 27	-	333,000,000	29,367,004	81,450,959
Securitization Loan 28	-	500,000,000	40,134,078	74,350,370
Securitization Loan 29	-	300,000,000	18,787,834	29,198,192
Securitization Loan 30	-	500,000,000	22,473,733	-
Securitization Loan 31	-	171,109,418	7,360,474	-
Securitization Loan 32	-	300,000,000	4,585,898	-
	<u>3,607,522,368</u>	<u>4,051,801,017</u>	<u>714,340,187</u>	<u>3,342,102,669</u>
				<u>5,031,560,902</u>
26.1.2	Bank loans			
	As at 31.03.2019 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.
				As at 31.03.2020 Rs.
Sampath Bank loan 01	41,920,000	-	2,718,485	44,638,485
DFCC Vardhana Bank 01	49,999,990	-	3,917,127	53,917,117
DFCC Vardhana Bank 02	112,499,993	-	12,637,977	62,637,981
Sampath Bank Loan 02	248,611,111	-	27,328,270	143,994,936
HNB Bank Loan 01	70,007,155	-	5,542,921	75,550,076
Nations Trust Bank Loan 01	99,650,000	-	10,580,028	77,480,028
DFCC Vardhana Bank 03	203,124,998	-	24,518,310	87,018,318
HNB Bank Loan 02	220,000,000	-	24,166,797	144,166,797
Nations Trust Bank Loan 02	155,400,000	-	18,031,884	84,931,884
DFCC Short Term Loan	150,000,000	-	5,967,137	155,967,137
DFCC Vardhana Bank 04	-	150,000,000	14,054,271	42,179,271
Sampath Bank Loan 03	-	200,000,000	22,787,983	68,437,983
HNB Bank Loan 03	-	250,000,000	10,685,888	38,465,888
	<u>1,351,213,247</u>	<u>600,000,000</u>	<u>182,937,076</u>	<u>1,079,385,901</u>
				<u>1,054,764,424</u>

26. OTHER BORROWED FUNDS (CONTD...)

26.2 Loan details

Bank	Approved facility	Purpose	Term of the loan	Security	Security amount Rs.
People's Bank - Securitization loan 16	Rs.395.6 Mn	Working capital requirements	30 monthly instalments	Lease and hire purchase loan receivable	Rs.128.5 Mn
HNB - Securitization loan 17	Rs.761.5 Mn	Working capital requirements	24 monthly instalments	Micro finance and group personal loan receivable	Rs. 143.4 Mn
People's Bank - Securitization loan 18	Rs.300 Mn	Working capital requirements	24 monthly instalments	Lease and hire purchase agreements	Rs. 73.6 Mn
People's Bank - Securitization loan 19	Rs.500 Mn	Working capital requirements	30 monthly instalments	Gold loan receivable agreements	Rs.206.4 Mn
NSB Bank - Securitization loan 20	Rs.399.6 Mn	Working capital requirements	24 monthly instalments	Hire purchase and Finance lease	Rs. 266.1 Mn
NSB Bank - Securitization loan 21	Rs.299.6 Mn	Working capital requirements	15 monthly instalments	Hire purchase and finance lease agreements	Rs. 31 Mn
HNB - Securitization loan 22	Rs.600 Mn	Working capital requirements	36 monthly instalments	Hire purchase and finance lease agreements	Rs. 794.5 Mn
HNB - Securitization loan 23	Rs.400 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs. 237 Mn
HNB - Securitization loan 24	Rs.1000 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs. 2249 Mn
HNB - Securitization loan 25	Rs.600 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs. 742 Mn
HNB - Securitization loan 26	Rs.347.6 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs.475.8 Mn
HNB - Securitization loan 27	Rs.333 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs. 387.7 Mn
HNB - Securitization loan 28	Rs.500 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs. 665.6 Mn
HNB - Securitization loan 29	Rs.300 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs. 426 Mn
HNB - Securitization loan 30	Rs.500 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs. 759.3 Mn
HNB - Securitization loan 31	Rs.171.6 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs. 263 Mn
HNB - Securitization loan 32	Rs.300 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	Rs.473.7 Mn

26. OTHER BORROWED FUNDS (CONTD...)

Bank	Approved facility	Purpose	Term of the loan	Security	Security amount Rs.
DFCC Vardhana Bank 02	Rs.200 Mn	Working capital requirements	48 monthly instalments	Promissory note	Rs.200 Mn
Sampath Bank PLC 02	Rs.550 Mn	Working capital requirements	36 monthly instalments	Loan agreement for Rs.550 Mn.	N/A
DFCC Vardhana Bank 03	Rs.250 Mn	Working capital requirements	48 monthly instalments	Promissory note	Rs.250 Mn
DFCC Vardhana Bank 04	Rs.150 Mn	Working capital requirements	3 monthly instalments	Promissory note	Rs.150 Mn
Sampath Bank Loan 03	Rs.200 Mn	Working capital requirements	3 monthly instalments	Loan agreement for Rs.200 Mn.	Rs.200 Mn
HNB Bank Loan 02	Rs.300 Mn	Working capital requirements	30 monthly instalments	Mortgage bond over corporate loans and micro finance loan portfolio	Rs.300 Mn
Nations Trust Bank 01	Rs.200 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over corporate loans and micro finance loan portfolio	Rs.200 Mn
Nations Trust Bank Loan 02	Rs.200 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over loan recoverable consisting of business loan, corporate loan and mortgage loans	Rs.200 Mn



	31.03.2020 Rs.	31.03.2019 Rs.
27. RIGHT-OF-USE ASSET-LEASED LIABILITY		
Balance as at 01/04/2019	-	-
Day 1 impact from application of SLFRS 16	149,077,968	-
Restated balance as at 01/04/2019	149,077,968	-
Additions/renewal operating lease during the year	17,310,094	-
Accretion of interest	17,234,710	-
Payments made during the year	(42,557,697)	-
Transferred from advances and prepayment	(14,864,202)	-
Balance as at 31/03/2020	126,200,873	-
Weighted average incremental borrowing rate as at April 1, 2019 (%)	15%	-

27.1 Sensitivity of Right-of-Use Assets / Lease Liability to Key Assumption

Sensitivity to incremental borrowing rates

Increase/(decrease) in incremental borrowing rate as at 31st March 2020 by 1% would have (decreased)/increased the lease liability by approximately Rs 3.5 Mn with a similar (decrease/increase) in Right-of-use asset. Had the company increased/(decreased) the incremental borrowing rate by 1%, the company's profit before tax for the year would have (decreased)/increased by approximately Rs 0.15 Mn.

	31.03.2020 Rs.	31.03.2019 Rs.
28. DUE TO CUSTOMERS		
Fixed deposits	6,585,234,705	6,617,344,955
	6,585,234,705	6,617,344,955
29. RETIREMENT BENEFIT OBLIGATION		
Retirement benefit obligations - gratuity		
Balance at the beginning of the year	22,085,492	20,044,993
Amount charged for the year	9,116,872	5,992,249
Payments made during the year	(1,232,500)	(3,948,750)
Balance at the end of the year	29,972,864	22,088,492
29.1 Amount recognized in the statement of profit or loss		
Current service cost for the year	4,611,505	3,268,464
Interest cost for the year	2,429,734	2,004,499
	7,041,239	5,272,963
29.2 Amount recognised in other comprehensive income		
Actuarial loss for the year	2,075,633	719,285
	2,075,633	719,285

29.3 Messrs. Actuarial and Management Consultants (Pvt) Ltd, Actuaries, carried out an actuarial valuation of the retirement benefit obligation for Asia Asset Finance PLC as at 31st March, 2020. The valuation method used by the Actuary to value the liability is the Projected Unit Credit Actuarial Cost Method recommended by LKAS 19. Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:

Actuarial assumptions	31.03.2020 Rs.	31.03.2019 Rs.
Discount rate	10%	11%
Salary increment rate	10%	6%
Staff turnover	33%	33%
Retirement age	55 years	55 years
Mortality	67/70 Mortality Table (Institute of Actuaries, London)	

29.4 Sensitivity analysis

In order to illustrate the significance of the salary increment rates and discount rates assumed in the valuation, the sensitivity analysis is as follows:

	31.03.2020 Rs.	31.03.2019 Rs.
Discount rate		
Effect on retirement benefit obligation due to 1% increase	28,929,457	21,569,870
Effect on retirement benefit obligation due to 1% decrease	31,096,299	22,635,301
Salary increment rate		
Effect on retirement benefit obligation due to 1% increase	30,994,362	22,605,686
Effect on retirement benefit obligation due to 1% decrease	29,006,336	21,589,925



30. STATED CAPITAL	31.03.2020		31.03.2019	
	Number	Rs.	Number	Rs.
30.1 Fully paid ordinary shares	124,195,533	1,791,478,691	109,097,018	1,640,493,541
30.1.1 Balance at the beginning of the year	109,097,018	1,640,493,541	839,207,833	1,388,935,273
During the year share consolidation	-	-	83,920,783	-
During the year shares issued	15,098,515	150,985,150	25,176,235	251,558,268
Balance at the end of the year	124,195,533	1,791,478,691	109,097,018	1,640,493,541

30.2 Rights of shareholders

The holders of ordinary shares confer their rights to receive dividends as declared from time to time and are entitled to one vote per share at the meeting.

All shares rank equally with regard to the company's residual assets.

31. STATUTORY RESERVE FUND AND OTHER RESERVES	31.03.2020	31.03.2019
	Rs.	Rs.
Statutory reserve fund	73,766,353	70,387,374
General reserve	3,000,000	3,000,000
	<u>76,766,353</u>	<u>73,387,374</u>

31.1 Statutory reserve fund

Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (i) of Finance Companies (Capital Funds) Direction No. 1 of 2003.

31.2 General reserve

General reserve represents the amounts set aside by the directors for general application.

32. EARNINGS PER SHARE

32.1 Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

32.2 The following reflects the income and share data used in the basic earnings per share computation.

Amounts used as the numerator:	31.03.2020	31.03.2019
	Rs.	Rs.
Net profit attributable to ordinary shareholders for basic earnings per share	<u>70,153,366</u>	<u>100,929,818</u>
Number of ordinary shares used as denominator for basic earnings per share	31.03.2020	31.03.2019
	Number	Number
Weighted average number of ordinary shares in issue	124,097,289	107,445,733
Basic earnings per share	<u>0.57</u>	<u>0.94</u>



33. CONTINGENT LIABILITIES AND COMMITMENTS

In the normal course of business, the company makes various commitments and incurs contingent liabilities. No material losses are anticipated as a result of these transactions.

33.1 Commitments		31.03.2020	31.03.2019
		Rs.	Rs.
Promissory note to DFCC Bank PLC Loans	33.1.1	600,000,000	800,000,000
Undrawn commitments	33.1.2	80,417,899	1,056,330
Capital commitment on software licensing agreement		-	31,547,500
Asset Backed Securitization to Mpower Capital Limited		-	1,000,000,000
		<u>680,417,899</u>	<u>1,832,603,830</u>

33.1.1 Promissory notes

The related loan balances on issued promissory notes are as follows as at the reporting date.

	Promissory note Value Rs	Loan outstanding as at 31.03.2020 Rs.
Promissory notes to DFCC Bank PLC	600,000,000	324,999,979
	<u>600,000,000</u>	<u>324,999,979</u>

33.1.2 Undrawn commitments

Undrawn commitments consist of facilities granted to customers where the company reserves the right to unconditionally cancel or recall the facility at its discretion.

34. Contingent liabilities

The company does not have significant contingent liabilities as at the reporting date.

35. ASSETS PLEDGED

The following assets have been pledged as securities for liabilities.

Nature of assets	Nature of liabilities	Carrying amount pledged		Included under
		31.03.2020 Rs.	31.03.2019 Rs.	
Lease and hire purchase loan receivables	People's Bank - Securitization loan 16	91,098,364	252,001,829	Lease rentals receivables and hire purchase
Micro finance and group personal loan receivable	HNB - Securitization loan 17	109,357,643	703,378,775	Loans and advances
Lease and hire purchase agreements	People's Bank - Securitization loan 18	53,321,616	253,211,278	Lease rentals receivables and hire purchase
Gold loan receivable agreements	People's Bank - Securitization loan 19	148,654,723	453,792,839	Loans and advances



35. ASSETS PLEDGED (CONTD....)

Nature of assets	Nature of liabilities	Carrying amount pledged		Included under
		31.03.2020 Rs.	31.03.2019 Rs.	
Hire purchase and finance lease agreements	NSB Bank - Securitization loan 20	200,453,050	427,115,767	Lease rentals receivables and hire purchase
Hire purchase and finance lease agreements	NSB Bank - Securitization loan 21	23,555,742	314,675,723	Lease rentals receivables and hire purchase
Hire purchase and finance lease agreements	HNB - Securitization loan 22	529,240,442	622,264,150	Lease rentals receivables and hire purchase
Gold loan receivable agreements	HNB - Securitization loan 23	177,767,632	405,118,879	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 24	803,800,380	-	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 25	516,261,644	-	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 26	336,230,748	-	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 27	280,916,045	-	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 28	465,783,708	-	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 29	289,589,642	-	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 30	522,473,733	-	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 31	178,469,892	-	Loans and advances
Gold loan receivable agreements	HNB - Securitization loan 32	304,585,898	-	Loans and advances
Mortgage bond over corporate loans and micro finance loan portfolio	Nations Trust Bank Loan 01	32,750,000	99,650,000	Loans and advances
Mortgage bond over corporate loans and micro finance loan portfolio	HNB Bank Loan 02	100,000,000	220,000,000	Loans and advances
Mortgage bond over corporate loans and micro finance loan portfolio	Nations Trust Bank Loan 02	88,500,000	155,400,000	Loans and advances



36. MATURITY ANALYSIS

An analysis of the total assets employed and the total liabilities at the year end, based on the remaining balance at the reporting date to the respective contractual maturity dates is given below:

	Less than 3 months Rs.	3-12 months Rs.	1-3 years Rs.	Over 3 years Rs.	Total Rs.
Assets					
Cash and cash equivalents	511,939,133	-	-	-	511,939,133
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	560,940,701	299,689,995	-	-	860,630,696
Financial assets at amortized cost - Loans and advances	4,279,579,118	1,250,137,969	1,402,629,791	1,980,700,772	8,913,047,650
Financial assets at amortized cost - Lease rentals receivable and hire	130,117,075	631,822,907	2,354,995,225	609,553,495	3,726,488,702
Other assets	16,983,813	-	-	-	16,983,813
Income tax receivable	-	27,736,580	-	-	27,736,580
Deposits and prepayments	11,500,026	5,387,843	139,301,354	-	156,189,223
Financial assets - Fair value through other comprehensive income / available for sale	-	-	-	506,659	506,659
Property, plant and equipment	-	-	-	138,032,482	138,032,482
Right-of-use assets	-	-	-	137,210,457	137,210,457
Investment property	-	-	-	399,678,109	399,678,109
Deferred tax asset	-	-	225,922,647	-	225,922,647
Intangible assets	-	-	-	40,220,339	40,220,339
As at 31.03.2020	5,511,059,866	2,214,775,294	4,122,849,017	3,305,902,313	15,154,586,490
As at 31.03.2019	4,024,233,678	2,004,522,052	4,412,667,636	3,458,071,054	13,899,494,420
Liabilities					
Financial liabilities - Due to banks	58,777,776	-	-	-	58,777,776
Other liabilities	96,622,133	-	-	-	96,622,133
Financial liabilities - Other borrowed funds	1,163,478,651	2,993,468,946	1,923,127,734	6,249,995	6,086,325,326
Lease liability	-	-	-	126,200,873	126,200,873
Due to customers	1,004,397,294	4,403,026,402	1,079,327,820	98,483,189	6,585,234,705
Retirement benefit obligation	-	-	-	29,972,864	29,972,864
As at 31.03.2020	2,323,275,854	7,396,495,348	3,002,455,554	260,906,921	12,983,133,677
As at 31.03.2019	3,152,333,887	3,407,485,868	3,088,283,717	2,298,502,866	11,946,606,338
Net amount					
As at 31.03.2020	3,187,784,012	(5,181,720,054)	1,120,393,463	3,044,995,392	2,171,452,813
As at 31.03.2019	871,899,791	(1,402,963,816)	1,324,383,919	1,159,568,188	1,952,888,082



37. CURRENT/NON-CURRENT ANALYSIS

	31.03.2020			31.03.2019		
	Within 12 months Rs.	After 12 months Rs.	Total Rs.	Within 12 months Rs.	After 12 months Rs.	Total Rs.
Cash and cash equivalents	511,939,133	-	511,939,133	643,777,198	-	643,777,198
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	860,630,696	-	860,630,696	691,744,740	-	691,744,740
Financial assets - fair value through profit or loss / held for trading	-	-	-	125	-	125
Financial assets at amortized cost - Loans and advances	5,529,717,087	3,383,330,563	8,913,047,650	4,125,903,691	3,327,470,772	7,453,374,463
Financial assets at amortized cost - Lease rentals receivable and hire purchase	761,939,982	2,964,548,710	3,726,488,702	401,263,746	3,701,388,189	4,102,651,935
Vehicle stock	-	-	-	18,913,569	-	18,913,569
Other assets	16,983,813	-	16,983,813	16,511,803	-	16,511,803
Income tax receivable	27,736,580	-	27,736,580	3,732,303	-	3,732,303
Advances, deposits and prepayments	16,887,869	139,301,354	156,189,223	126,908,555	28,246,642	155,155,197
Financial assets - Fair value through other comprehensive income / available for sale	-	506,659	506,659	-	506,659	506,659
Property, plant and equipment	-	138,032,482	138,032,482	-	158,680,580	158,680,580
Right-of-use assets	-	137,210,457	137,210,457	-	-	-
Investment property	-	399,678,109	399,678,109	-	393,818,513	393,818,513
Deferred tax asset	-	225,922,647	225,922,647	-	249,583,725	249,583,725
Intangible assets	-	40,220,339	40,220,339	-	11,043,610	11,043,610
Total assets	7,725,835,160	7,428,751,330	15,154,586,490	6,028,755,730	7,670,738,690	13,899,494,420
Liabilities						
Financial liabilities - Due to banks	58,777,776	-	58,777,776	131,273,907	-	131,273,907
Other liabilities	96,622,133	-	96,622,133	217,163,369	-	217,163,369
Financial liabilities - Other borrowed funds	4,156,947,597	1,929,377,729	6,086,325,326	1,422,586,000	3,536,149,615	4,958,735,615
Lease liability	-	126,200,873	126,200,873	-	-	-
Due to customers	5,407,423,696	1,177,811,009	6,585,234,705	4,788,796,479	1,628,548,476	6,417,344,955
Retirement benefit obligation	-	29,972,864	29,972,864	-	22,088,492	22,088,492
Total liabilities	9,719,771,202	3,263,362,475	12,983,133,677	6,559,819,755	5,186,786,583	11,946,606,338
Net balance	(1,993,936,042)	4,165,388,855	2,171,452,813	(531,064,025)	2,483,952,107	1,952,888,082



38. ASSETS AND LIABILITIES MEASURED AT FAIR VALUE AND FAIR VALUE HIERARCHY

38.1 Determination of fair value and fair value hierarchy

As at 31st March 2020, the company held the following assets carried at fair value on the statement of financial position. The company uses the following hierarchy for determining and disclosing the fair value of these assets by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

38.1.1 Assets measured at fair value

31.03.2020				
Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	
Financial assets - Fair value through other comprehensive income	506,659	-	-	506,659
Total assets at fair value	506,659	-	-	506,659

31.03.2019				
Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	
Financial assets - fair value through profit or loss / held for trading	125	125	-	-
Financial assets - Fair value through other comprehensive income	506,659	-	-	506,659
Total assets at fair value	506,784	125	-	506,659



39. FINANCIAL REPORTING BY SEGMENT

	Finance lease		Hire purchase		Gold Loan		Loans and advances		Investment		Other		Total	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019
Interest income	1,180,119,244	892,924,491	25,375	4,536,876	455,093,124	479,727,840	1,092,476,205	1,251,396,320	116,035,120	94,076,202	-	-	3,643,709,078	2,772,680,945
Other income	48,800,702	31,955,571	93,937	368,919	182,956,799	54,517,612	50,176,795	30,397,488	380,000	38,364	6,601,948	8,807,179	288,910,201	146,195,033
Total revenue	1,228,919,946	924,880,062	119,312	4,905,795	638,049,923	534,245,452	1,142,653,000	1,281,793,808	116,415,120	94,114,566	6,601,948	8,807,179	3,932,619,279	2,888,745,978
Segmental result	54,103,455	91,861,908	5,253	270,801	36,893,833	29,496,383	50,305,907	71,871,023	5,120,816	5,195,986	290,655	488,237	546,720,329	158,382,336
Value added tax on financial services													33,404,047	64,475,297
Profit from operations													93,316,292	93,907,039
Income tax (charged)/reversal for the year													(23,162,926)	7,072,779
Net profit for the year													70,153,366	100,979,818
Segment assets	3,711,805,061	4,098,865,738	14,683,641	3,786,197	4,203,492,692	2,702,639,260	4,709,594,957	4,799,735,203	880,630,696	691,744,865	-	-	13,500,167,048	12,247,771,263
Unallocated assets											1,654,419,442	1,651,723,157	1,654,419,442	1,651,723,157
Total assets	3,711,805,061	4,098,865,738	14,683,641	3,786,197	4,203,492,692	2,702,639,260	4,709,594,957	4,799,735,203	880,630,696	691,744,865	1,654,419,442	1,651,723,157	15,154,586,490	13,899,494,420
Segment liabilities	3,503,144,267	3,918,008,682	13,846,326	3,615,136	3,963,794,039	2,583,388,860	4,440,998,796	4,541,115,265	811,554,364	661,272,513	-	-	12,730,337,807	11,707,354,476
Unallocated liabilities											252,795,870	238,251,861	252,795,870	238,251,861
Total liabilities	3,503,144,267	3,918,008,682	13,846,326	3,615,136	3,963,794,039	2,583,388,860	4,440,998,796	4,541,115,265	811,554,364	661,272,513	252,795,870	238,251,861	12,983,133,677	11,945,606,337

In determining segment results, expenses have been allocated on proportionate basis on interest income and the segment liabilities have been proportionately allocated based on the segment assets.

40. EVENTS OCCURRING AFTER THE REPORTING DATE

The outbreak of COVID-19 in the last quarter of the financial year has caused disruption to many local and global business and economic activities. The company has been closely monitoring the impact of the pandemic on its business operations as at year end and also in the immediate future. The company evaluated all guidelines issued by the Government as well as international best practices and has developed individual health and safety guidelines to ensure suitable working arrangements and safe conditions for employees, customers and other stakeholders. With the gradual commencement of economic activities by the public and private sectors after a stringent lockdown period of over a month, the company has evidenced a smooth transition with the resumption of business activities where the company is seeing a positive momentum.

However, given the volatile and evolving landscape, the company will continue to monitor the impact on its operations and proactively take measures to ensure that the business continues as seamlessly as possible.



41. RELATED PARTY DISCLOSURES

The company carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties. Details of significant related party disclosures are as follows:

41.1 Parent and ultimate controlling party

The ultimate parent of the company as at 31st March, 2020 is Muthoot Finance Limited.

41.2 Transactions with related entities

41.2.1 Muthoot Finance Limited

Relationship - Ultimate parent

	31.03.2020 Rs.	31.03.2019 Rs.
Transactions during the year		
Expenses incurred for Muthoot Finance Limited	3,194,246	1,277,674

41.3 Transactions with key management personnel of the company

The key managerial personnel of the company are the members of its board of directors and the parent company. The following transactions were entered between the company and its key management personnel and their close family members.

	31.03.2020 Rs.	31.03.2019 Rs.
41.3.1 Key management personnel compensation		
Short-term employment benefits paid	16,994,200	16,087,000
41.3.2 Other transactions with key management personnel		
Fixed deposits held	78,118,463	75,340,543
Uplift of fixed deposits	30,123,745	14,093,613
Interest expenses	11,007,355	6,141,619
41.3.3 Share transactions with key management personnel		
Number of ordinary shares held at the year end	1,400,000	1,400,000

42. RISK MANAGEMENT

As a financial institution, the company is exposed to various types of risks including credit, market, liquidity and operational risks which are inherent in the company's activities. Managing these risks is critical for the sustainability of the company and plays a pivotal role in all activities of the company. The company has developed a culture within the organization, which shapes and influences the risk decisions taken by the management and the employees. The adequacy and the effectiveness of the risk management decisions taken by the company's management will be reviewed regularly through its committees and reported to the "Integrated risk management committee" for reference and guidance. The company believes that successful risk management will enable it to be resilient to any unfavourable event caused by internal or external factors.

42.1 Risk management committees

42.1.1 Assets and liability committee (ALCO)

ALCO is chaired by the chief executive officer and its representatives are the chief operating officer, general manager, the assistant general manager-finance, the senior manager-treasury and the assistant manager - analyst. The committee meeting is held once a month to monitor and manage the assets and liabilities of the company and also the overall liquidity position to keep the company's liquidity at healthy levels whilst satisfying regulatory requirements.



42. RISK MANAGEMENT (CONTO...)

42.1 Risk management committees (contd...)

42.1.2 Integrated risk management committee (IRM)

The IRM committee, has the responsibility to monitor the overall risk process within the company. The IRM committee has the overall responsibility for the development of the risk strategy and implementing principles, frameworks, policies and limits. The IRM committee is responsible for managing risk decisions and monitoring risk levels and reports on a periodical basis to the board.

42.2 Credit risk

Credit risk is the likelihood that a borrower or counterparty will not honor its obligations in accordance with the terms of agreement. I.e the risk of default which is one of the most vulnerable risks faced by any financial institution. Credit risk is inherent to all financial institutions where the main business is lending. The main aim of the "credit risk management" is to minimize the risk and to maximize the risk adjusted rate of return of the financial institution.

42.2.1 Company's approach to credit risk

The company caters to mainly the small and medium corporate sector and to the retail sector. Therefore, the company has adopted a process where the credit evaluation is not restricted to its finances but also to qualitative factors, giving the company an opportunity to evaluate customer's operations, product feasibility, management structure etc.

In order to mitigate the risk of exposing into high risk sectors, the company has imposed sector restrictions and exposure ceilings. Effective management of portfolio ensures that the company avoids the risk of concentration of exposures. Further, the company is continuously conducting environment analysis and periodic reviews to monitor credit exposures, portfolio performance and to identify emerging credit risks.

The recoveries department consistently monitors portfolio delinquency and the collections. A monthly report is submitted to the chief executive officer on the performance of individual marketer.

The credit policy of the company recommends an innovative approach in evaluating a borrower without hindering the credit quality. The company has introduced exposure ceilings, delegated authority levels for credit approval, internal risk rating model and risk based pricing through the credit policy.

The spread of COVID-19 has negatively impacted many firms, mainly through potential disruptions in manufacturing supply chains, domestic consumption, tourism and exports, posing downside risks to their earnings prospects. This has in turn impacted the capacity of such firms to meet contractual loan obligations leading to an increase in NPLs. However, the company has determined the impact of COVID 19 on its loans and advances portfolio as minimal and short term as the company has been providing more secured lending in the recent years and the majority of the customers in the portfolio do not belong to the industries significantly impacted by COVID 19. Further, the company believes relief measures granted in accordance with the government moratorium program will not dampen the recoverability of the loan facilities.

42.2.2 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets

As at 31st March 2020

	Carrying amount Rs.	Not subject to ECL Rs.	Subject to		
			12-month ECL (Stage 1) Rs.	Life time ECL - not credit impaired (Stage 2) Rs.	Life time ECL - credit impaired (Stage 3) Rs.
Cash and cash equivalents	511,939,133	511,939,133	-	-	-
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	860,630,696	860,630,696	-	-	-
	1,372,569,829	1,372,569,829	-	-	-
Loans and advances at amortized cost					
Gross loans and advances	9,819,980,963	-	5,791,952,342	542,827,585	3,485,201,037
Less : Impairment charge	906,933,313	-	58,249,862	29,179,872	819,503,779
Net carrying amount	8,913,047,650	-	5,733,702,680	513,647,713	2,665,697,258
Lease rentals receivable and hire purchase at amortized cost					
Gross lease rentals receivable and hire purchase	4,014,813,440	-	2,787,829,382	452,754,414	774,229,644
Less : Impairment charge	288,324,738	-	95,808,518	32,169,710	160,346,489
Net carrying amount	3,726,488,702	-	2,692,020,864	420,584,684	613,883,155
Financial assets - fair value through other comprehensive income					
Gross carrying amount	7,006,659	7,006,659	-	-	-
Less : Impairment charge	6,500,000	6,500,000	-	-	-
Net carrying amount	506,659	506,659	-	-	-

42. RISK MANAGEMENT (CONTD....)

42.2.2 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets (contd....)

As at 31st March 2019

	Carrying amount Rs.	Not subject to ECL Rs.	Subject to		
			12-month ECL (Stage 1) Rs.	Life time ECL - not credit impaired (Stage 2) Rs.	Life time ECL - credit impaired (Stage 3) Rs.
Cash and cash equivalents	643,777,198	643,777,198	-	-	-
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	691,744,740	691,744,740	-	-	-
Financial assets - fair value through profit and loss	125	125	-	-	-
	1,335,522,063	1,335,522,063	-	-	-
Loans and advances at amortized cost					
Gross loans and advances	8,293,241,005	-	6,128,718,981	313,400,161.00	1,851,121,863
Less : Impairment charge	839,866,542	-	179,587,839	32,390,823	627,887,880
Net carrying amount	7,453,374,463	-	5,949,131,142	281,009,338	1,223,233,983
Lease rentals receivable and hire purchase at amortized cost					
Gross lease rentals receivable and hire purchase	4,275,258,850	-	3,542,416,480	300,427,914	432,414,456
Less : Impairment charge	172,606,915	-	87,045,635	11,147,399	74,413,881
Net carrying amount	4,102,651,935	-	3,455,370,845	289,280,515	358,000,575
Financial assets - Fair value through Other comprehensive income					
Gross carrying amount	7,006,659	7,006,659	-	-	-
Less : Impairment charge	6,500,000	6,500,000	-	-	-
Net carrying amount	506,659	506,659	-	-	-

42.2.3 Impairment assessment

Details of the company's impairment method are disclosed in Note 3.1.11.

42.2.4 Concentration of credit risk

The company's concentration of risk in relation to the lending portfolio is managed by the industry sector which is detailed below:

	31.03.2020 Rs.	31.03.2019 Rs.
Manufacturing	328,068,438	677,748,000
Transport	138,269,834	161,707,000
Services	646,011,973	934,474,000
Agro-business and fisheries	186,986,891	274,136,000
Construction	163,498,090	110,011,000
Commercial trading	776,365,660	1,423,002,000
Others	11,575,593,517	8,987,421,855
Total lending portfolio	13,834,794,403	12,568,499,855
Loans and advances	9,819,980,963	8,293,241,005
Lease	3,982,071,675	4,241,856,650
Hire purchase	32,741,765	33,402,200
Total receivables	13,834,794,403	12,568,499,855



42. RISK MANAGEMENT (Contd..)

42.3 Market risk

Market risk is identified by the company as the possibility of loss to the company caused by changes in the market variables. Market risk mainly includes interest rate risk, liquidity risk, foreign exchange risk and country risk.

42.3.1 Interest rate risk

Interest rate risk is the potential negative impact on the net interest income based on rate fluctuations and impact to the profitability of the company. The company does not have variable interest rates and all facilities granted are on fixed interest rates. The global outbreak of the novel COVID-19 epidemic has resulted in consecutive reductions in policy rates and monetary easing policies by the Central Bank of Sri Lanka to encourage banks and finance companies to reduce lending rates. The impact of reduction in interest rates on rate sensitive assets and liabilities and the subsequent profitability thereon is yet to be assessed.

When all borrowings and lending are done on fixed rates the net interest margin is affected due to the following reasons:

Maturity mismatch/GAP

One of the major concerns in financial business is the maturity mismatch, where the average loan period is over 2 years whilst the average deposit period is less than one year. Hence, where the interests are on an increasing trend the company's net interest margin will reduce.

Please refer note 36 to the financial statements for the maturity analysis.

Re-Investment risk

These are uncertainties with regard to interest rate at which the future cash flows could be re-invested. On an increasing trend, this would be beneficial for Asia Asset Finance PLC.

Net interest position

When the market rates are on a downward trend and the company's earning assets are higher than its liabilities, the risk of net interest position falling is high.

42.3.2 Liquidity risk

Liquidity is the ability to efficiently accommodate deposit as also reduction in liabilities and to fund the loan growth and possible funding of the off-balance sheet claims. Liquidity risk arises through maturity mismatch of loans and deposits.

The company considered that cash flow scrutiny is paramount and has adopted a disciplined approach across the units including setting up of company-wide spend control and cash management measures for preserving and increasing liquidity, particularly on account of the impact of COVID-19.

42.3.3 Foreign exchange (FOREX) and country risk

FOREX is the risk that finance companies may suffer loss as a result of adverse exchange rate movements. Country risk is the risk that arises due to cross border transactions. The uncertainty caused by the COVID 19 pandemic could lead to increased pressure on the local currency resulting in higher foreign exchange risk. However, since Asia Asset Finance PLC does not have any foreign borrowings or foreign transactions overseas except for Oracle financials licensing fee, the company concludes that COVID 19 impact on FOREX is not substantial on the company to conduct in-depth analysis. However, there is a slight impact when budgeting for this cost. The above risks are triggered by the treasury operations.

43. COMPARATIVE INFORMATION

Comparative figures have been re-classified where necessary in line with presentation requirements for the current year.

